

Consumer issues and shopping

Eloise Haynes



 *Quality ready-to-use resources*

MONEY
Management

5

A black and white photograph of a young man with short, dark hair, smiling as he sits on a couch. He is leaning forward, using a laptop with his right hand on the keyboard. In his left hand, he holds a credit card. The background is a blurred indoor setting with a lamp and some furniture.

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Eloise Haynes started teaching in 2008 at Camberwell High School and has taught a wide range of subjects including Humanities, Law, Economics and Business in years 7–10 and VCE Business Management and Accounting. She has also presented at the annual Victorian Commercial Teacher's Association conference where she focused on the use of interactive and technology-based resources in the classroom as a way of engaging students with Commerce. She has presented on curriculum development in the junior years with a focus on units integrating Commerce with other disciplines. In addition to presenting, she is also a co-author of the textbook series *Exploring Business*, published by Blake Education and VEA.

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Introduction

Shopping and consumer issues is the fifth book in the Money management series. The activities explore different ways to shop and the influences on our purchasing choices – including what we buy and where we buy it from. Emphasis is placed on secure online shopping and knowing your rights and responsibilities as both a customer and consumer. Each topic has been developed to increase students' practical understanding of the life skills associated with this important topic. The activities also include many opportunities to improve basic literacy and numeracy skills, making them very suitable for students struggling with regular curriculum materials.

Contents

Topic 1: Customers

1.1 Customer wordsearch	4
1.2 What is a customer?	5
1.3 My shopping places	6
1.4 How do I interact?	7
1.5 Who would buy?	8

Topic 2: How much will it cost?

2.1 Shopping crossword	9
2.2 Where's the best place to shop?	10
2.3 How much is the discount?	11
2.4 Getting a better deal	13
2.5 Buying in bulk	15
2.6 Is 'more' better value?	16

Topic 3: Buying and paying

3.1 Different ways to pay	17
3.2 Paying with cash versus credit	19
3.3 Using cash and getting change	20
3.4 Buying online using a credit card	21
3.5 Online transfers and money orders	23
3.6 Card fraud	25

Topic 4: Apps, music and movies

4.1 Digital download crossword	27
4.2 Who is buying apps?	28
4.3 What apps can I buy?	29
4.4 Understanding terms and conditions	31
4.5 Why is piracy illegal?	33

Topic 5: Shopping scams

5.1 What are shopping scams?	36
5.2 Asking questions to prevent getting scammed	38

Topic 6: Bag checks

6.1 What is a bag check?	39
6.2 Providing advice about bag checks	41

Topic 7: When goods are faulty

7.1 Faulty goods wordsearch	42
7.2 When is a good faulty?	43
7.3 Can I get a refund?	45
7.4 How do I get a refund?	46
7.5 What remedies are available?	47
7.6 What are warranties?	48
7.7 Explore a warranty	49

Topic 8: Complaints

8.1 Tips for making a complaint	51
8.2 Analyse a complaint letter	52
8.3 Arrange a complaint letter	54
8.4 Write a complaint	55

Topic 9: Influences on the consumer

9.1 How am I influenced?	56
9.2 What influences people to buy?	57

Smart consumer quiz	59
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Selected answers	61
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1.1 Customer wordsearch

Find the ten words relating to customers and shopping in this wordsearch.
Words go in these directions: → ← ↓ ↑ ↘ ↙ ↗ ↖.

customer
purchase
seller
buyer
products
services
goods
price
store
business



p	t	f	o	k	b	s	s	t	e
u	n	b	u	s	i	n	e	s	s
r	g	i	p	r	w	e	l	t	e
c	e	y	l	r	l	l	l	c	r
h	n	m	a	t	i	s	e	u	v
a	r	o	o	g	c	c	r	d	i
s	e	r	o	t	s	u	e	o	c
e	l	o	i	i	s	m	j	r	e
h	d	s	u	d	h	u	p	p	s
s	p	b	u	y	e	r	c	a	e

1.2 What is a customer?

Complete the questions to learn about what a customer is.

1 Use the word bank to fill in the gaps below.

- | | | | | |
|------------|-------------|---------|-------------|--------|
| • buys | • different | • goods | • purchaser | • uses |
| • customer | • drive | • loyal | • stores | • wear |

Every one of us is a customer at some stage in our lives. 'Customer' is a word used to describe a person (or sometimes a group) who purchases _____ or services from another person or group. Other words that can be used instead of customer are buyer, client, patron or _____.

Some customers are very _____ to products. For example, some teenagers always purchase the same brand of phone or buy the same brand of clothes to _____.

On the other hand, an adult might be more loyal to the brand car they _____.

It is _____ for every customer.

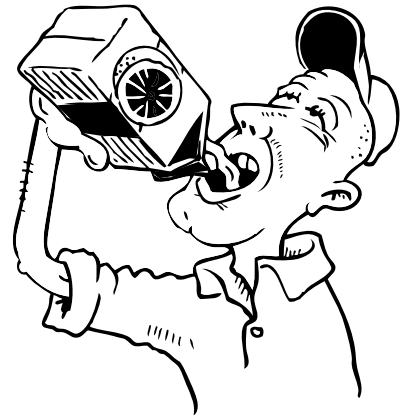
A _____ is different to a *consumer*.

While a customer purchases the item, they may not be the consumer of the item. A consumer is the one who _____ or consumes the product.

Consider breakfast cereal. Think about who _____ the cereal in your home and who actually eats it. Is it the same person?

Being a customer is a complicated job. Some people are customers to lots of different _____ and products, others to just a few.

At the end of the day, we are all customers!



2 What does the word *customer* mean to you?

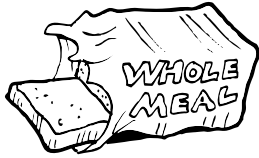
3 What is the difference between a customer and a consumer?

1.3 My shopping places

As customers, we buy products from lots of different businesses.
We buy a variety of products depending on our own needs and wants.

1 Write where you could buy each product pictured.

a



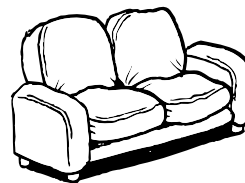
e



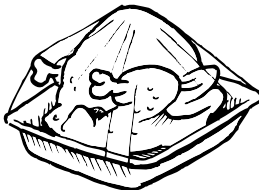
b



f



c



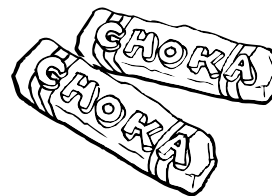
g



d



h



2 Where do you shop most frequently? List the four stores you visit or buy from most.

--	--	--	--

3 Compare your stores with the person sitting next to you. Are they similar or different? Suggest why.

1.4 How do I interact?

As customers and consumers, we interact with businesses every day – whether it be the shops we buy from, the products we receive or the items we want!

1 Unjumble these words relating to ways of interacting with businesses.

- | | | | |
|------------|-------------|-----------|-------------|
| a ailter | ___ t ___ | h tylyola | _ oy ___ |
| b chesurpa | p ___ c ___ | i viserce | ___ v _ c _ |
| c edtar | _ r ___ | | |
| d lels | _ e _ | | |
| e nadbr | ___ n _ | | |
| f pipngohs | sh _____ g | | |
| g rodputc | pr _____ | | |



2 Each word in question 1 has a matching explanation below. Write the word in the box beside the correct explanation.

- | | |
|---|----------------------|
| a When one person offers an item in exchange for another item | <input type="text"/> |
| b The act of purchasing products from stores | <input type="text"/> |
| c Something made that is designed to be sold | <input type="text"/> |
| d When a business provides us with a product in exchange for money, they _____ it to us. | <input type="text"/> |
| e Something that we purchase to use but is intangible (cannot be seen or touched). Examples include hiring a plumber or taking a car to a mechanic. | <input type="text"/> |
| f The sector of industry that handles buying and selling. Many stores are called _____ers. | <input type="text"/> |
| g When you buy something, you _____ it. | <input type="text"/> |
| h Many customers like particular brands and will buy them all the time. When someone shows dedication to a product, they are showing _____. | <input type="text"/> |
| i When you buy a product, it may have a logo or name on it. This logo or name is called the _____. | <input type="text"/> |

1.5 Who would buy?

Meet the Jones family. They are a household of consumers and customers. Each person likes to buy different products and brands.

I'm Sean, I like to go camping at the lake with my family. My favourite hobby is waterskiing.

I'm Vicki, I like to do lots of different crafts. I also like being outside and getting my hands dirty.



I'm Ryan, I like to hang out with friends. I also love reading and all the latest technology.

I'm Harrison, I want to be an artist or builder when I grow up because I like making things. I also like helping my mum cook.

- 1 Read the information from each person and select two items from the list below that you think each family member would like or buy. Write these items in the Product 1 and Product 2 columns of the table below. One has been done for you.

Items: building blocks, speed boat, comic books, painting set, gardening gloves, barbeque grill, knitting needles

Family member	Product 1	Product 2	Product 3
Sean			
Vicki			
Ryan	<i>video game console</i>		
Harrison			

- 2 In the product 3 column, list another product you think each person would like. Think about your own family and the kinds of items each person buys.

2.1 Shopping crossword

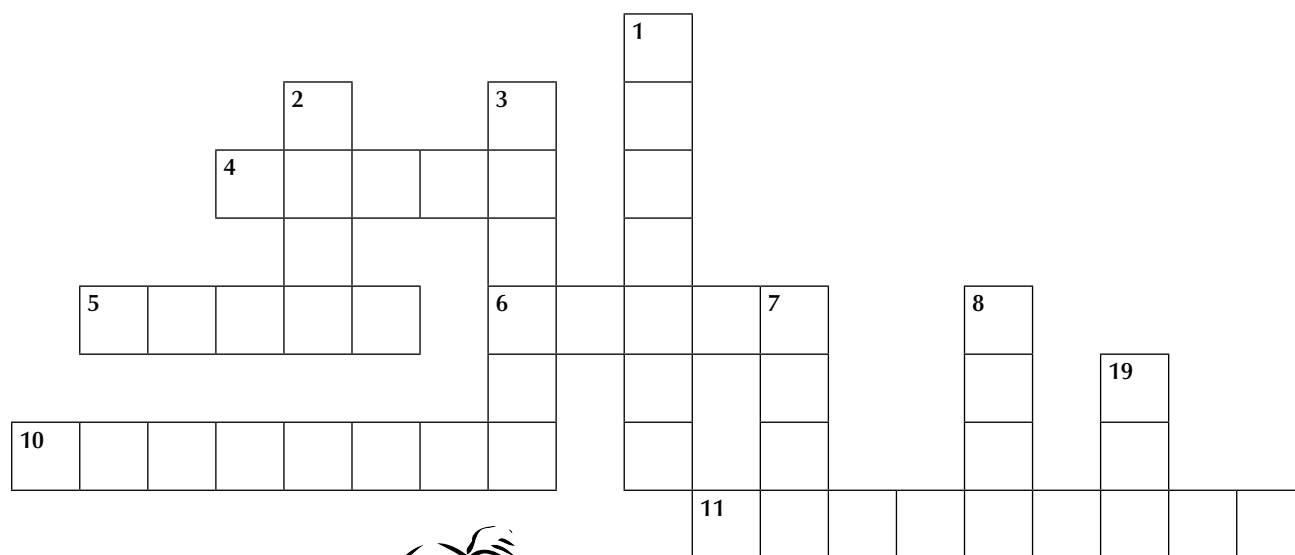
Use the clues to complete the crossword. All the answers are common shopping words we see every day.

Across

4. An item that has this is worth a certain amount of money – customers often try to buy items that provide the best _____
5. Currency used to pay for items
6. Unit of measurement, one thousand _____ equal one kilogram.
10. A reduction in the usual cost of something
11. When prices are made lower it is called a price _____

Down

1. Customers often _____ items to see which one is better value.
2. Stores often have one to help sell items; prices are reduced to attract customers
3. The heaviness of an item
7. How big an item is depends on its _____
8. A number that represents a fraction of one hundred; customers often receive a _____ discount
9. The amount of money required to purchase something



2.2 Where's the best place to shop?

Read the information about places to shop. Then answer the following questions.

There are many different options and locations to buy from when shopping. The best place for a customer to shop depends on what they want to buy. Some customers want to spend time looking for the perfect option. In this case, a shopping centre where lots of different stores are grouped together would be the best place to shop. Customers who want to find the perfect item can look online where stores from Australia and around the world all sell their items, often at a cheaper price.



Customers who value convenience could choose to buy all their items from one store. Department stores and supermarkets sell many different kinds of items including food, clothing, technology, furniture, stationery and much more.

Customers looking for something unique or second-hand can also find the perfect place to shop. Opportunity shops, commonly known as 'op shops', offer second-hand items at a good price. Many markets also offer previously owned or cheap items for sale. However, customers at these locations may have to spend more time looking and sorting through items to find the perfect product.

1 Read these people's stories. What is the best place for them to shop? Explain why.

a Robert wants to buy Mitch a birthday present. He is not sure what to get yet, so he goes shopping at a place where there are lots of choices.

Place to shop:

Why? _____

c James is about to do his weekly grocery shopping. He likes to buy fresh fruit and vegetables as well as snacks for his family.

Place to shop:

Why? _____

b Nancy likes snowboarding and buys the latest gear. She thinks that buying it in Australia makes it too expensive. She really likes brands from the USA but can't afford to travel there to go shopping.

Place to shop:

Why? _____

d Catherine likes to shop for unusual clothing and gifts. She wears lots of vintage clothes but doesn't like shopping in vintage stores. She likes the challenge of finding unique clothes herself.

Place to shop:

Why? _____

2.3 How much is the discount?

Read the information about calculating discounts. Then answer the following questions. You will need a calculator or working paper.

People often purchase things because they get *discounts*. A discount is when an amount of money is taken off the price you pay. The larger the discount you get, the cheaper the price! A discount is often shown as a percentage of the total price, such as 10% or 25%.

It's hard to judge the best value if you're not sure how much you save with a discount. The examples below show you how to figure it out.

Annie purchases a new television for \$1,500. Because she pays cash, the store manager gives her a 10% discount. Calculate the amount Annie pays for her new television.

$$\begin{aligned}\text{original price} \times \% \text{ discount} &= \$ \text{ discount} \\ \$1,500 \times 10\% &= \$150 \text{ discount} \\ \text{or } \$1,500 \times 0.10 &= \$150 \text{ discount} \\ \text{original price} - \text{discount} &= \text{amount paid} \\ \$1,500 - \$150 &= \$1,350 \text{ cash paid}\end{aligned}$$

Tip: If your answer ends in a decimal, round it to the nearest whole number.

- If your answer ends in .5 or above, such as 4.6, 5.8 or 10.9, *round up* to the next whole number.
- If your answer ends in .4 or below, such as 7.2, 3.4 or 1.1, *round down* to the whole number.

Marcus buys a new set of golf clubs. The original price of the golf clubs was \$1,500 but when Marcus went to the register to pay, the retail assistant reduced the price to \$1,400. What percentage discount did Marcus receive?

$$\begin{aligned}\text{original price} - \text{amount paid} &= \$ \text{ discount} \\ \$1,500 - \$1,400 &= \$100 \text{ discount} \\ \$ \text{ discount} \div \text{original price} &= \text{decimal discount} \\ \$100 \div \$1,500 &= 0.067 \\ \text{decimal discount} \times 100 &= \% \text{ discount} \\ 0.067 \times 100 &= 6.7\% \text{ discount} \\ \text{rounded up to the next whole number} &= 7\% \text{ discount}\end{aligned}$$



1 For each situation, calculate the discount amount, the discount as a percentage or the price the customer pays. Refer to the examples above to help.

- a Tom purchases a large order of DVDs from an online store, priced at \$500. Because he is a regular customer, the stores give him a 5% discount. What is the **discount in dollars** that Tom will receive?

Hint: original price $\times$ % discount = \$ discount

2.3 How much is the discount? (cont'd)

- b Tara wants to buy a new computer. The salesperson offers her a 7% discount if she buys the computer worth \$3,200 today. How much will Tara pay for the computer if she takes advantage of this discount?

- e Patricia goes to buy a new washing machine. The store only has one left of the model she wants and it is slightly damaged. They offer her a discount of 4% off the full price of \$950. How much will it cost now?

- c Richard is shopping for jewellery for a Christmas present. He is looking at a necklace worth \$8,600 but is worried that he cannot afford it. To encourage him to buy it, the salesperson offers an 8.5% discount. How much will Richard now pay for the necklace?

- f Tristan buys a new game console. As part of the purchase, he also buys three new games. The price for each game is \$100 but the sales assistant reduces it to \$95 per game. What percentage discount does Tristan receive on the games?

- d Jackson wants to buy a new pair of good quality jeans. The jeans cost \$120 but Jackson finds them on sale with '15% discount' marked on the original price tag. How much will Jackson save?

- g Mandy wants to buy a new car. She finds a small hatchback worth \$12,000. She negotiates to pay only \$11,500. What percentage discount, to 1 decimal place, has Mandy received?

2.4 Getting a better deal

Sometimes, different stores offer different saving options – some offer discounts at a certain percentage, others offer discounts where a certain number of dollars is taken off the price of a product. Can you figure out which one is cheaper?

- 1 Amy wants to buy new jeans. She finds them at two different stores and prices. She wants to know which one is the best deal.



A



Actual price:

B



Actual price:

Which option is cheaper,
A or B?

- 2 Samuel wants to buy a new MP3 player. He went to the local shopping centre and found the following prices.



A



Actual price:

B



Actual price:

Which option is cheaper,
A or B?

2.4 Getting a better deal (cont'd)

- 3 Joey is considering purchasing a new mobile phone. He looked at two stores that stock the latest model and found it for sale at two different prices. He needs help deciding which one is cheaper.



A **\$540**
BUY OUTRIGHT AND
GET 7% OFF

B **\$520**
BUY TODAY AND GET
\$10 OFF

Actual price:

Actual price:

Which option is cheaper, A or B?

- 4 Georgia is looking at buying a new bike. She is a keen BMX rider and has spent lots of time researching the perfect bike in four different stores. She needs help deciding on the best option.



A **\$680**
5% DISCOUNT

B **\$660**
TAKE
\$20 OFF

Actual price:

Actual price:

C **\$650**
NO FURTHER
DISCOUNT

D **\$670**
SAVE \$15
TODAY ONLY

Actual price:

Actual price:

Which option is cheaper, A, B, C or D?

2.5 Buying in bulk

Read the information about comparing prices. Then answer the following questions. You may need a calculator or working paper.

Many of the items we buy come in different sizes. A sensible customer takes into account the size or weight of an item when comparing costs. Sometimes – but not always – buying in bulk (buying in large amounts) is cheaper. For example, I could have these options for cans of tomatoes:

Tip: Unit price refers to the price per unit of measurement. For example, the tomato calculations found the unit price per 100 g.

Can of tomatoes: 300 g

Price tag: \$1.80

Calculate price per 100 g:

$$300 \text{ g} \div 100 \text{ g} = 3$$

$$\$1.80 \div 3$$

$$= \$0.60 \text{ per } 100 \text{ g}$$

Can of tomatoes: 500 g

Price tag: \$2.70

Calculate price per 100 g:

$$500 \text{ g} \div 100 \text{ g} = 5$$

$$\$2.70 \div 5$$

$$= \$0.54 \text{ per } 100 \text{ g}$$

Can of tomatoes: 800 g

Price tag: \$4.00

Calculate price per 100 g:

$$800 \text{ g} \div 100 \text{ g} = 8$$

$$\$4.00 \div 8$$

$$= \$0.50 \text{ per } 100 \text{ g}$$

In this case, the **800 g can of tomatoes** is the cheapest per one hundred grams.

Calculate the unit price for these items.

- 1 Calculate the price per 100 mL for each bottle of soft drink.

a 600 mL for \$2.50 _____

b 1.25 L for \$3.20 _____

c 2 L for \$4.00 _____

- 2 Calculate the price per 100 g for each bag of chips.

a 100 g for \$1.20 _____

b 250 g for \$2.90 _____

c 375 g for \$4.60 _____

- 3 Calculate the price per pen for each box of pens.

a 10 pack for \$2.80 _____

b 25 pack for \$5.40 _____

c 100 pack for \$23.00 _____

Tip: Remember, there are 1,000 grams (g) in one kilogram (kg) and 1,000 millilitres (mL) in one litre (L).



- 4 Calculate the price per 50 g for each block of chocolate.

a 75 g for \$1.00 _____

b 150 g for \$1.80 _____

c 250 g for \$3.00 _____

2.6 Is 'more' better value?

Sometimes people buy products because they are advertised as having bonus amounts for free. But are these always better? Comparing the prices will help you decide which is the best value.

- 1 A bottle of shampoo comes in two different sizes – 500 mL and a new promotion on the 250 mL bottle that offers 10% more for free.

- 250 mL bottle with '10% more': \$3.00
- 500 mL bottle: \$5.80

- a How many extra millilitres (mL) of shampoo does the 250 mL bottle with '10% more' contain?

- b How much does the shampoo cost per 100 mL for the:

- 250 mL bottle with 10% more? _____
- 500 mL bottle? _____



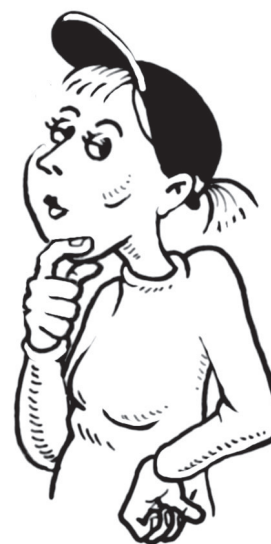
- 2 A store has just started selling a new range of energy drinks called Blaze. The energy drink comes in these sizes and prices:

- 200 mL can with '20% more': \$1.80
- 500 mL can with '15% more': \$3.40
- 700 mL 'Jumbo size' can: \$4.40

- a How many extra millilitres (mL) of energy drink does the 200 mL with '20% more' can contain?

- b How many extra millilitres (mL) of energy drink does the 500 mL with '15% more' can contain?

- c Which can works out the best value for money?



3.1 Different ways to pay

- 1 Find the nine terms relating to different ways to purchase items in this wordsearch.
Words go in these directions: → ← ↓ ↑ ↘ ↗ ↙ ↚.

cash
debit
credit
cheque
money order
gift card
online
lay-by
eftpos



v	p	r	r	i	s	x	g	n	t	m	t
o	j	o	t	o	z	i	d	e	b	i	t
z	f	p	p	d	f	t	m	s	e	s	m
j	e	t	x	t	o	s	o	k	s	o	z
b	f	u	c	i	l	e	n	i	l	n	o
e	p	a	q	d	q	a	e	m	o	c	h
h	r	v	y	e	g	e	y	b	r	a	s
d	z	g	r	r	h	n	o	b	p	s	s
o	f	n	c	c	h	c	r	s	y	h	k
k	r	w	d	f	t	j	d	r	k	s	d
v	x	o	p	o	u	z	e	k	b	p	d
p	u	w	d	m	z	c	r	j	i	d	r

3.1 Different ways to pay (cont'd)

2 Write each term from the wordsearch above the correct definition.

a _____:
Money, notes and coins used to pay for items

b _____:
One type of card that allows a person to pay for items electronically, using their own savings in the bank

c _____:
Payments made using the Internet

d _____:
Customers ask stores to hold items for them. They then purchase the items by making payments over a certain period of time. Once the item is paid for, the store gives the item to the customer.

e _____:
Similar to a cheque, this is a document provided by Australia Post that allows people to pay for items. The item value must be stated on the document which is then 'cashed in' at an Australian Post office by the person it is given to.

f _____:
A type of card a person can use to pay for items electronically, using funds borrowed from a bank or other financial institution. This money must be paid back by the customer.

g _____:
A card that holds a certain amount of credit and can be used in a certain store. Items can be purchased using this card or the amount can be used to contribute to the overall payment of an item.

h _____:
Stands for Electronic Funds Transfer at Point Of Sale; a payment method that uses debit cards to purchase items.

i _____:
A written or typed paper used to make payments. This form of payment is an order for banks to pay a certain amount to the people listed on the paper. Many businesses still use this method of payment.

3 Use the definitions above to recommend a method of payment for these customers.

a Jill wishes to purchase an ice cream from the milk bar.

b Anne wants to buy a book as a friend's birthday present, but isn't sure which one he would like.

c Ben wants to buy a new bike. He can't afford to pay the \$500 price at the moment, but is afraid it will sell out before he can save enough money over the next three months to buy it.

d Veronica wants to pay for a new pair of shoes she bought from the United States. She wants to make sure the money arrives as quickly as possible.

e Michael needs to pay \$50 to his friend, who lives interstate. He is afraid that any cash he sends in the mail may get lost.

3.2 Paying with cash versus credit

Read the information about cash, credit and debit cards. Then answer the question.

Why should I pay cash?

For many years, cash has been the preferred way of paying for the things we want to buy. It is something everyone recognises and when we see a note or coin we all know the value it holds. Cash has many other benefits over credit or debit cards.

First of all, anyone can use cash, no matter what their age. This is not the case for credit cards or debit cards. In Australia, you must be 18 years old to apply for a credit card. While there is no age restriction for debit cards, teenagers usually need their parent's approval to get one. The main difference between a debit card and credit card is that a debit card uses your own money whereas a credit card is a form of borrowing money to pay for items. Neither credit cards nor debit cards are as simple to use as cash.

Secondly, cash is simple. If you only pay in cash, there is less chance of spending more than you can afford. This can easily happen with credit cards which often have a large limit on the amount you can spend, as well as high interest rates.

Cash is also always accepted. Some places may not accept credit or debit cards or require you to spend a certain amount of money before you can use them. This often means that people spend more just so they can pay using their cards.

Credit and debit cards also attract extra fees. This means that sometimes a product is more expensive because a charge or surcharge is added to the cost of the purchase.

Sometimes you get a discount for paying with cash. This is because businesses don't have to pay the credit/debit card surcharge. That makes the product cheaper for you.

Cash does have disadvantages. One major problem with cash is that it can be lost or stolen. If you use a credit card or debit card, even if the card is lost the funds stored electronically are still safe.

1 Are these statements true or false? If you answer false, edit the statement to make it true.

Statement	True or false?
a You must be 16 years old to get a credit card in Australia.	
b Cash is not always accepted as a method of payment.	
c A major disadvantage of credit is that it is more expensive to use than cash.	
d Storing funds electronically is often safer than cash.	
e Using cash can sometimes attract surcharges.	
f Credit cards and debit cards allow people to spend more money than they actually have.	

3.3 Using cash and getting change

1 For each shopping scenario, calculate the correct amount of change owing.



- a Brett goes to the local milk bar to buy some snacks for the afternoon. He purchases a can of soft drink worth \$1.80 and mixed lollies worth \$2.70. To pay, he hands over a \$10 note.



How much change will Brett receive? _____

- b Thomas goes to the local DVD store and hires two overnight DVDs worth \$3.95 each. He also purchases a bag of microwave popcorn for \$2.00 and a block of chocolate for \$4.95. To pay, he hands over a \$20 note.



How much change will Thomas receive? _____

- c Ellie goes to a department store and buys four new tops on sale. With a discount, she pays \$25.00 each for two of the tops and \$32.95 each for the other tops. She hands over three \$50 notes to pay when she gets to the counter.



How much change will Ellie receive? _____

- d Jackie purchases a new set of stationery to get ready for the new school year. She spends \$12.95 on a new pencil case, ruler and pens. At the counter, she decides to add in a new 4 GB USB drive worth \$11.50. Jackie uses a \$20 note and a \$10 note to pay.

How much change is Jackie owed? _____

- e Brian visits a sports store to purchase some new sports equipment. He purchases a new frisbee worth \$25.00 and T-shirt worth \$32.50. He hands over a \$50 note and a \$20 note.

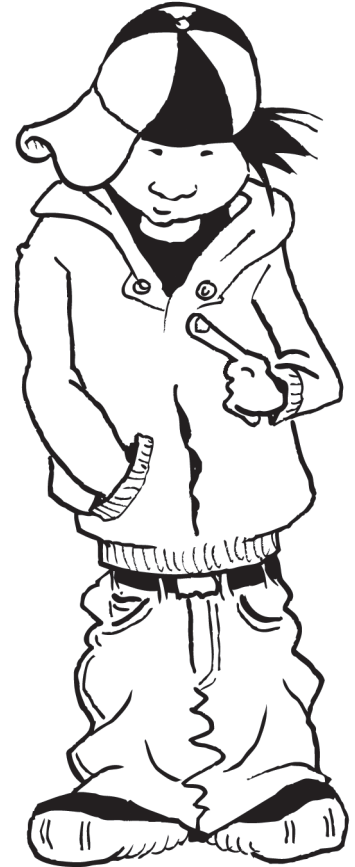
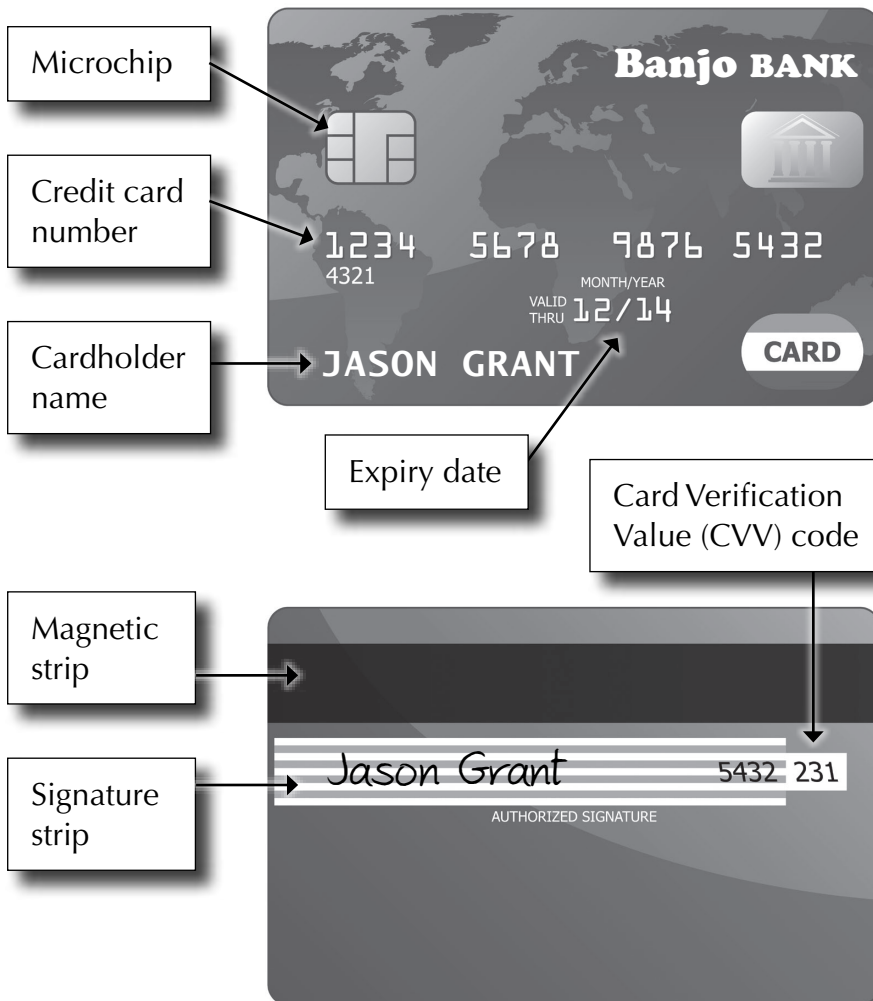
How much change is Brian owed? _____

2 Write how many of each coin or note you would need to make up the correct change for the customers from question 1.

Customer	5c	10c	20c	50c	\$1	\$2	\$5	\$10	\$20
Brett									
Thomas									
Ellie									
Jackie									
Brian									

3.4 Buying online using a credit card

Use Jason Grant's credit card below to answer the following questions.



1 Write each label from the diagram above the correct definition.

- a _____
Area of the card where the cardholder signs their name as a form of security
- b _____
The date by which the card must be replaced or it can no longer be used
- c _____
Name of the person to whom the card belongs
- d _____
A unique number located on the signature strip that provides further security when making purchases

- e _____
A small electronic circuit used to hold information and provide security
- f _____
The unique series of 12 digits that identifies each credit card
- g _____
A strip located on the back of the card that, when swiped, provides information about the card and account balances

3.4 Buying online using a credit card (cont'd)

- 2 Jason is buying two concession tickets to the Concrete Rock musical festival coming up next weekend. He wants the deluxe passes with VIP access so he can go backstage. Because he is worried about paper tickets being delivered to his house in time, he plans to buy electronic tickets.

Use the credit card information on the previous page and Jason's information on the right to help him purchase the tickets online.

Jason's info:

Email: jason.grant@email.com

Address: 72 Hectagon Rise,
Crows Nest,
New South Wales 2065

Step 1: Select the event.

Event:

☐

Circus Oz

☐

Chinese Ballet

☐

AC/DC Tribute Show

☐

Concrete Rock

☐

Wild Thing in concert

☐

The King and I

Step 2: Select the quantity of tickets and ticket type.

Select ticket access:

☐

Standard

☐

Deluxe

☐

Deluxe VIP

Enter quantity:

☐

Student

☐

Concession

☐

Adult

Select delivery method:

☐

Venue pick-up

☐

Standard mail

☐

Electronic ticket

Step 3: Fill in personal and credit card details to process the payment.

Name:

Email:

Address:

Credit card type:

Credit card no.:

CCV:

Cardholder name:

SUBMIT

3.5 Online transfers and money orders

More and more Australians of all ages are buying online. People use the Internet to buy anything and everything – groceries, music, movies and clothes are just a few of the more common purchases. Help Zoe Cheshire complete her online shopping transactions in the activities below.

- 1 Zoe Cheshire is shopping online for some new clothing. She wants to purchase 3 T-shirts online. She plans to pay by online transfer, and needs them posted to Australia. Complete Zoe's order.

Tip: You need to know these terms.

Online transfer: Using the Internet to transmit/send cash from bank accounts to people who are owed money.

Money order: A printout you can pay a bank or the post office to create. This can be posted to people who take the paper to the bank or the post office and collect their cash. It's a much safer option than a personal cheque or cash in the mail!

VINTAGE-STYLE T-SHIRTS - VARIOUS PATTERNS

Buy vintage-style T-shirts featuring vintage movie poster and record cover designs – 20 designs available.

Quantity:

Cost per item: \$14.95

Postage (per T-shirt):

☐ United Kingdom: \$4.50

☐ United States: \$4.50

☐ Europe: \$5.50

☐ Asia-Pacific: \$3.50

☐ Australia: \$3.00

☐ Other: \$7.00

Choose payment method:

☐ Online transfer

☐ Cheque

☐ Money order

Buy now!

- 2 Zoe wants to complete the online transfer but is unsure how much the total cost is. Write the correct amounts in the boxes below.

CONGRATULATIONS ON YOUR PURCHASE!

Item: Vintage-style T-shirt – various patterns

Quantity ordered:

Cost per item:

Total cost of items:

Postage destination:

Postage cost:

Total price:

SUBMIT

3.5 Online transfers and money orders (cont'd)

- 3 Zoe has found a necklace in the United Kingdom to buy her friend for Christmas. She plans to use a money order to make the payment, and have the gift posted directly to her friend in the United Kingdom.



UNIQUE NECKLACE - WORLD GLOBE DESIGN

This necklace will make a great gift for any world traveller. Featuring a small pendant of a world globe, it will inspire many future travel destinations.

Quantity: Cost per item: £13.50

Postage (per item): ☐ United Kingdom: £1.50 ☐ United States: £3.00
☐ Europe: £2.50 ☐ Asia-Pacific: £3.50
☐ Other: £4.00

Choose payment method:
☐ Online transfer ☐ Cheque ☐ Money order

Buy now!

- 4 Zoe wants to know how much the item will cost in Australian dollars before she organises the money order. The exchange rate is 1 Great British Pound (GBP) = 1.55 Australian Dollars (AUD). Write the correct amounts in the boxes below. Round all numbers to two decimal places.

CONGRATULATIONS ON YOUR PURCHASE!

Item: Unique necklace – world globe design

Quantity ordered:

Cost:	Amount GBP	Amount AUD
Per item:		
Total cost of items:		

Postage destination:

Postage cost:		GBP		AUD
Total price:		GBP		AUD

SUBMIT

3.6 Card fraud

Vanessa recently received a letter about debit and credit card fraud. She has some questions about the information. Read the letter and answer Vanessa's questions on the next page.



16 November 2014

Dear Vanessa,

As Christmas approaches, we understand that many of our customers start using their debit and credit cards more frequently. This includes shopping in-store, but also Internet shopping. You may have recently made purchases over the Internet, whether it be buying presents for friends overseas or concert tickets for that next big event. But there are some important facts for you to know about fraud and how it could affect you.

What is fraud?

Fraud is defined as a form of deception used in order to gain financially or personally. In most cases, it involves criminals stealing information like card details and using them to pay for items with your money.

There are many different kinds of fraud. The two most common examples in Australia are:

- card not present fraud: card details are used to complete transactions via phone, fax, mail or the Internet
- counterfeit card fraud: a fake card is used to make purchases.

Card fraud is affecting a growing number of people due to increased online shopping and purchasing from overseas, where laws are not as strict as in Australia. An increase in hacking (using a computer to access and steal personal data) around the world may also contribute to increasing fraud rates.

How can you tell if you are a victim of fraud?

These signs may indicate the occurrence of fraud:

- unknown transactions appearing on your bank statement
- recently providing your credit card details to someone untrustworthy
- amounts that differ from the actual amounts spent on purchases appearing from retailers on your bank statement. (Note that items purchased overseas may appear at different values in the bank statement due to the conversion of currency.)

3.6 Card fraud (cont'd)

What can I do to prevent fraud?

- Never give card details to people you don't know or trust.
- Check you bank statements regularly for unusual payments or amounts.
- Choose difficult passwords when purchasing from online sites.
- When buying items online, only use websites that are secure.

If you suspect fraud has been committed, call our hotline: 1800 BANJO BANK.

Happy holidays and spend wisely!

Kind regards,

The team at Banjo Bank

1 What is fraud?



2 What are the two most common examples of card fraud in Australia?

3 Why has there been an increase in card fraud?

4 What are two indicators of card fraud Vanessa should watch out for?

a

b

5 Suggest one additional way Vanessa could prevent card fraud.

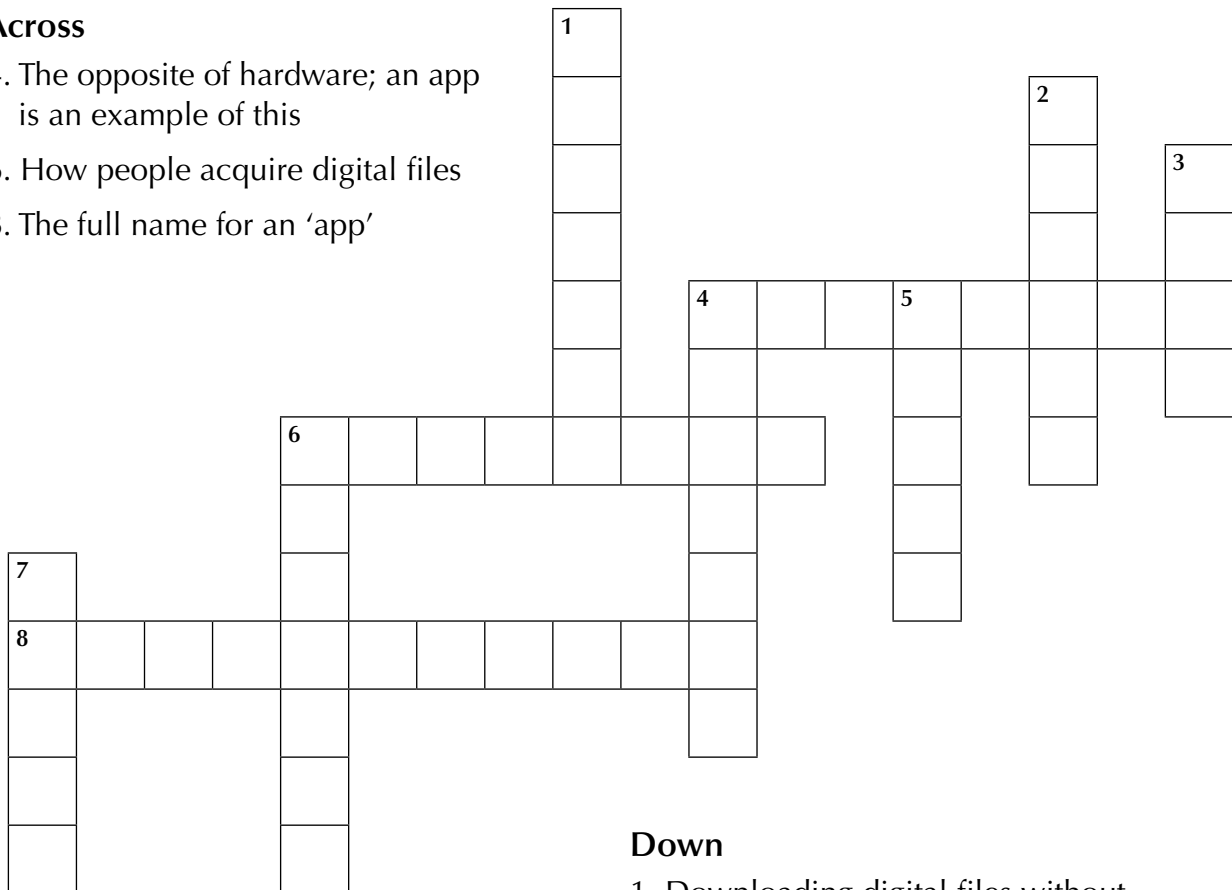
4.1 Digital download crossword

Downloading movies, television shows, music and apps to mobile phones or tablets is the latest trend in purchasing. While people have always enjoyed different kinds of entertainment, with the use of mobile phones and tablets we can purchase these downloads from anywhere, anytime. With apps, people can learn new languages, play games and even talk to friends overseas!

Complete this digital download crossword.

Across

4. The opposite of hardware; an app is an example of this
6. How people acquire digital files
8. The full name for an 'app'



Down

1. Downloading digital files without permission or payment is _____.
2. The process of illegally downloading files is known by this term: p_____
3. Some digital files cost money; others, especially those designed for young people, do not. They are _____.
4. Making a digital file available for download by many users: s_____
5. Usually the _____ and conditions of the provider must be agreed to before purchasing and using a digital file.
6. Mobile phones and tablets used to store digital files are examples of mobile _____.
7. Many people purchase apps that allow them to play these.



4.2 Who is buying apps?

Read the newspaper article excerpt below and answer the following question.

'Appy customers spend big

The little programs that we download frequently are now big business for technology companies around the world.

Applications, commonly known as 'apps', are small pieces of software downloaded onto devices such as mobile phones and tablets that enable users to access additional features. These features could be in the form of games, news sites, weather reports or even programs enabling cheap international phone calls.

The year 2012 saw a huge rise in the creation and purchase of apps. There are now hundreds of thousands of apps available for purchase by customers. With so much choice, it makes the world of apps a confusing, and sometimes expensive place. While most apps are free and those that are not cost only a few dollars, the purchase of multiple apps in a week can still hurt the wallets of customers. The downloading of large file sizes of apps can cost customers even more – particularly if they go over their Internet download limits set by Internet providers.

The majority of smart phone users also use apps in today's technology-obsessed world. But with the increase in apps, there has also been an increase in costs. These days, it is estimated the average smart phone user spends less than \$20 a month on applications.

So what are customers spending their money on? The most common apps downloaded are games. Many people believe this is because most users of apps are young people who use them for entertainment. This doesn't mean that apps are just for kids though. There are also apps designed to help customers learn or provide them with valuable information.

App-user Jordan Coleman, a 42-year-old physiotherapist, says that the apps he uses 'help him to do almost everything in life.' The apps he listed as being useful included a restaurant guide, language lessons, an alarm clock and sleep monitor and a train schedule which is 'more useful and gives more accurate information than the employees at the train station'. When asked how much he would pay for an app, he responded, 'If I used it every day? I would pay at least \$20.'

Goes to show that apps aren't just for the kids.

1 Are these statements true or false? Edit each false statement to make it true.

Statement	True or false?
a Apps allow users to access features that are not otherwise available on their smart phones or tablets.	
b There are hundreds of thousands of apps available for purchase.	
c All mobile phones are capable of downloading and using apps.	
d Most apps cost money to purchase.	
e The average smart phone user spends more than \$20 a month on apps.	
f The most common type of apps downloaded are games.	
g Most app users are over the age of 30.	
h Jordan Coleman thinks the restaurant guide app is the most useful one he has.	

4.3 What apps can I buy?

Use these apps to answer the following questions.

**NEWS OF SPORTS**

\$1.99

Get all the latest news ...
Read more

**CHATSTER**

\$3.99

Cheaper than texting ...
Read more

**QUIZ TIME**

\$5.99

How much do you know about ...
Read more

**MP CURRENCY CONVERTER**

FREE

Find out the value of the dollar ...
Read more

**STUDY IDEAS**

FREE

Daily tips and hints to help ...
Read more

**EURO FOOD**

FREE

Translations of what you are eating ...
Read more

**TYPING TEACHER**

\$8.99

Learn to type with accuracy ...
Read more

**UPSET DUCKS**

\$2.99

Help the ducks find their way ...
Read more

**OZ BASKETBALL**

FREE

Latest news and stats ...
Read more

**ART ELITE**

FREE

Information on the world's best paintings ...
Read more

**GRACELAND CINEMA**

FREE

Session times and movie info ...
Read more

**SPELLING MASTERCLASS**

\$10.99

Practise your spelling with quizzes ...
Read more

4.3 What apps can I buy? (cont'd)

- 1 Match the apps on the previous page to the people you think they would most suit by filling in the tables. Then calculate the total cost for each person.

John



I'm going to Europe for two months. While I'm overseas, I want to try lots of different types of traditional foods and visit art galleries. I don't want to spend any money on apps.

Apps for John	
Apps	Cost
Total cost:	

Hazel



I'm an English teacher and I want to find some apps to help my students learn all about English and improve their skills in writing and computer literacy. I don't want to spend more than \$20 on apps.

Apps for Hazel	
Apps	Cost
Total cost:	

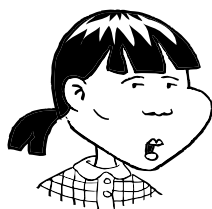
Megan



I love using my phone to play games and talk to my friends. I want some apps that let me do both. I don't want to spend more than \$10 on apps.

Apps for Megan	
Apps	Cost
Total cost:	

Lani



I'm a high school student and I like anything to do with sports or movies. I want to find some apps that give me all the latest news and information. I don't want to spend more than \$5 on apps.

Apps for Lani	
Apps	Cost
Total cost:	

- 2 What is the total cost for all the apps to be purchased? _____
- 3 Check the information under each person's profile.
Name anyone who went over their budget for purchasing apps. _____

4.4 Understanding terms and conditions

Downloading music can be done legally through many websites and programs. Many people download music using these options, usually for a small fee or sometimes even for free. Read the Terms and Conditions document below and use it to answer the following questions.

BB'S DIGITAL FILE STORE – TERMS AND CONDITIONS

BB's is the provider of online music and film content and permits the purchase or rental of content for use outlined in the terms and conditions below.

USAGE REQUIREMENTS

All users of this service should be 18 years or older to ensure terms are fully understood. Use of the service requires the use of a computer or Internet-enabled device, e.g. smart phone or tablet computer.

YOUR CONTENT

All users will be issued an individual password. Ensure this is kept private at all times. This password will be required before every purchase of content.

All content must be purchased with a credit card provided for each transaction. The details of this credit card can be stored for use with each purchase.

PRIVACY

BB's Digital File Store reserves the right to use personal information to recommend music or films based on data provided by the user. Personal information can also be transferred to other organisations for the purpose of market research or marketing. If you do not wish your personal information to be used, you must tick the 'opt out' feature in the 'Personal Profile' section of your user homepage.

RULES OF CONTENT USAGE

The user agrees to only use items purchased on BB's Digital File Store on the device by which the content was downloaded and on one additional device. No transfer of content is permitted between more than two devices. The user is not to modify or edit any content they download.

The user shall only download content for personal, non-business use. Any rental items shall automatically be blocked from further access 14 days after initial purchase. This includes music previews and film rentals.

All copyright related to content remains the property of the artist at all times.

BREACH OF TERMS AND CONDITIONS

In the event of a breach of the terms and conditions outlined above, BB's Digital File Store reserves the right to terminate content services immediately.

4.4 Understanding terms and conditions (cont'd)

- 1 Richard King is a 21-year-old student. He works as a DJ for birthday parties to earn money while he studies. He downloads music onto his smart phone and then transfers it to his laptop to use at work. He also buys movies online frequently but often takes a long time to watch them due to his busy schedule.

Refer to the terms and conditions on the previous page to answer these yes or no questions.

- | | |
|--|--------------------------|
| a Does Richard meet the age requirement to agree to the terms and conditions? | ☐ |
| b Does Richard own a suitable downloading device? | ☐ |
| c Can Richard pay cash for his downloads? | ☐ |
| d Are Richard's personal details kept private as a default? That is, are Richard's personal details only shared with people when he allows it? | ☐ |
| e Can Richard keep his personal details private if he wants to? | ☐ |
| f Can Richard download items onto his phone then use them on his laptop? | ☐ |
| g Can Richard use songs to create remixes? | ☐ |
| h Can Richard use downloaded songs for his DJ job? | ☐ |
| i Can Richard rent content and watch it one month later? | ☐ |
| j Does Richard own the copyright to downloaded content? | ☐ |

- 2 Would you recommend Richard agree to these terms and conditions?
Give reasons for your answer.



4.5 Why is piracy illegal?

The illegal downloading of music, games and films is known as 'piracy' and it is an increasing problem in Australia. Read the article below and answer the questions on the next page.

Another store bites the dust

Graeme Williams

18 January 2014

Not even three weeks into the New Year and already one of Australia's largest retailers is feeling the sting of online downloads on their sales and profits.

Australian Sales Manager of General Mart, Peter Gibson, said figures over the Christmas holiday season, were 'slow, especially in CD and DVD sales'. He blames poor sales figures on the rise in customers downloading content both legally and illegally.

'We did see a huge increase in the sales of prepaid cards which customers can use to legally download music, films, books and other content,' Peter Gibson said.

It is the illegal download industry that is causing retailers to panic. Worldwide, illegal downloads of music alone costs billions of dollars each year, let alone downloads of all the other kinds of content. When asked in a recent survey, most people said the reason they download content illegally is because they think one download won't have much impact. Another reason often given is that music and films are too expensive to buy, especially for young people, so illegal downloading is the only option.

An important fact many pirates (people who choose to download content illegally) don't consider is the way in which their piracy affects others. For example, if one person

downloads a music album illegally, it means that music artists are not paid the money their artistic skill entitles them to. Many others lose money that is rightfully theirs, including songwriters, lawyers, marketers, sound engineers, musicians and even retailers like General Mart.

Governments around the world are trying new measures to prevent illegal downloads from ruining jobs and businesses. Penalties for downloading illegally can now include fines and, for some of the biggest offenders, jail sentences. These penalties are yet to be tested in Australia and no pirates have been jailed over this crime to date. However, in the United States, some pirates have been fined hundreds of thousands of dollars for illegally downloading just one or two albums from the Internet. Many people argue this harsh punishment does not fit the small crime committed.

As sales of CDs and DVDs decrease, retailers like General Mart are now faced with a tough decision: do they continue to stock CDs and DVDs in their stores or is it not worth it?

Peter Gibson admits, 'We will be reducing the number of CDs and DVDs we offer to customers in our stores and hope customers come in and continue to purchase prepaid cards from us to download items legally.'

4.5 Why is piracy illegal? (cont'd)

1 On what does the Sales Manager of General Mart, Peter Gibson, blame poor sales over the Christmas period?

2 How much does illegal downloading cost around the world each year?

3 According to the recently conducted survey, what is the main reason provided for downloading content illegally?

4 Why are young people more likely to download content illegally?

5 Name three groups of people affected by the piracy of music.

6 Suggest a suitable penalty for these pirates.

Pirate	Penalty
Jennifer downloads the latest action film illegally and watches it at home with her family.	
Sam downloads the 20 most popular albums and shares them among a group of five of his friends via USB.	
Lee downloads a movie then sells 200 copies of it for \$5 each on copied DVDs.	

7 Consider this debate topic: *Downloading digital content such as music, movies, television shows and games without paying for them should not be considered a crime.* Brainstorm your ideas about the topic by listing dot points in the table below.

Agree	Disagree
Idea one: _____ _____	Idea one: _____ _____
Idea two: _____ _____	Idea two: _____ _____
Idea three: _____ _____	Idea three: _____ _____

4.5 Why is piracy illegal? (cont'd)

Use information from the article and your own research and knowledge to prepare a speech to convince others of your point of view on the debate topic. Remember that both sides have valid arguments, so be prepared!

It is my belief that downloading music and movies without paying for them should/should not be illegal.

In my speech, I will explain three reasons why I believe this is so.

The first reason to support my main argument is that _____

Evidence I have found supports this in the following ways:

The second reason is that _____

Evidence I have found supports this in the following ways...

The third reason is that _____

Evidence I have found supports this in the following ways:

In conclusion, downloading music and movies without paying for them should/should not be illegal because ...

5.1 What are shopping scams?

Read the information about shopping scams below then complete the following crossword and questions.

Common shopping scams

Every time we shop, we trust that the people we buy products from are telling us the truth. In some cases, the people we buy from may be untrustworthy scammers. They may sell us products of a lesser quality than we expect, or try to charge a higher price.

One common scam is 'double ticketing'. This is where a product has two price tags on it. When a customer takes the item to the register, the store charges the more expensive price even though they know it should be sold for the cheaper price.

Another common scam is 'bait and switch'. This is where stores advertise a product for a very attractive price. When the customer comes into the store to buy the product they are told it is 'sold out' and offered a similar, more expensive product instead. What makes this dishonest is the fact that they might never have stocked the original product, or stocked only a few items so it sold out faster than customers would expect it to.

As more people start shopping online, the number of scams is increasing. Online anonymous sellers can use false or insecure websites to steal credit card information and money. Once scammers have your money, they could send you faulty products, products different to what you ordered or sometimes no product at all!

In the case of online auction shopping, scammers can put fake bids on products to drive the prices up and make genuine customers pay more. These fake bids might be done by the seller themselves or by other people involved in the scam who are known as 'dummy bidders'.

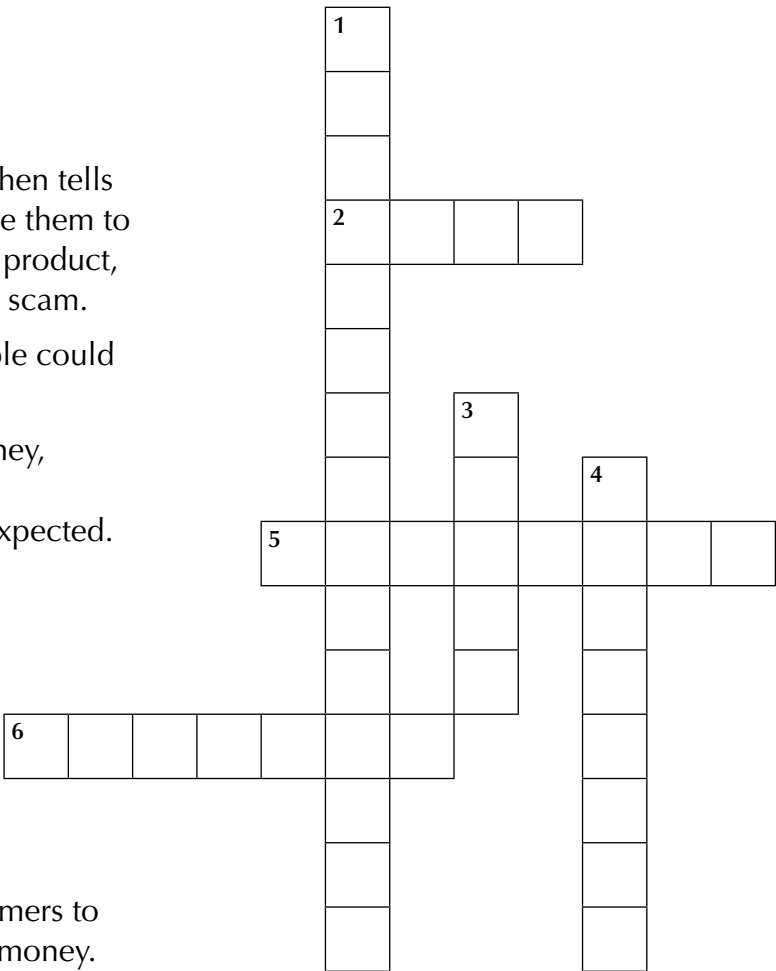
1 Complete the crossword.

Across

- 2. When a store advertises a product then tells customers it is sold out to encourage them to purchase a similar, more expensive product, it is known as the '___ and switch' scam.
- 5. When selling a product, these people could use untrustworthy tactics.
- 6. Once they have the customer's money, scammers might send products of a low ___ instead of the high ___ expected.

Down

- 1. The name of the scam in which two prices are put on an item and it is sold for the higher price.
- 3. The type of bidder that puts fake bids on auctions to drive the price up for other customers.
- 4. Insecure ___ can be used by scammers to obtain credit card information and money.



5.1 What are shopping scams? (cont'd)

- 2 Below are five ways for customers to avoid losing their money through scams. Use the wordbank to complete them. Some words will be left over.

- | | | |
|--------------|------------|-----------------|
| • security | • low | • enquiries |
| • high | • birthday | • past |
| • scam | • ratings | • payment |
| • genuine | • scamming | • retail |
| • government | • sellers | • announcements |
| • websites | • future | • false |



- a If a price seems too _____ for the product, it may be a scam.
- b Make further _____ about a product if you are not sure it is _____.
- c Always check that _____ you are purchasing from have adequate _____, especially when putting in credit card or other _____ details. (Tip: look for a locked padlock at the bottom of your web browser!)
- d Check the online seller's _____ and reviews, if available, to see if they are reliable.
- e To prevent _____ scams, contact _____ agencies if you have been scammed by any in-store or online sellers.
- 3 Priya has come to you for advice as she thinks she has been scammed. She recently bought a television at the local shopping centre. She took in a catalogue she received in her mailbox and asked for the television on the front page which was \$799. When the sales assistant returned, she told Priya the television was sold out and they weren't going to get new stock in again. Instead, she suggested a different brand for \$899.
- a What is the name of the scam Priya has potentially been exposed to?
- _____
- b What would you recommend Priya do to ensure that, if it is a scam, the scammers don't get away with it?
- _____
- _____
- c What would you recommend Priya do in the future to prevent this scam from happening to her?
- _____
- _____

5.2 Asking questions to prevent getting scammed

Read the information about scams then complete the following question.

One of the top tips to prevent being scammed is to make further enquiries about products if you have doubts about it. An enquiry can be in the form of a letter, email, online form or phone call – the main aim is to ask questions to find out more information. If the seller cannot answer your questions, it could well be a scam!

Tips for structuring your enquiry

- Format your enquiry like a standard letter. A professional enquiry is more likely to receive a professional reply.
- Use clear and concise language. Don't ask long questions. If necessary, break complex questions into parts or dot points.
- Introduce your enquiry by listing the item you wish to discuss. Some sellers may have multiple items they are selling online.
- Always be specific when asking questions. For example, if you want to know what colour the product is, ask for specific shades.
- Always include your email, phone number or other contact information so the seller can reply quickly and in the way you prefer.
- End your enquiry with thanks and a formal sign off such as 'Yours sincerely' or 'Kind regards'.

- 1 Shelley wants to purchase a new car. She found a 2008 hatchback on the website 'Car Yard Marketplace' but needs to know the colour of the car, how many kilometres the car has travelled, whether it has a roadworthy certificate (a certificate that states the car is safe to be on the road) and when she can view the car. She wants a reply from the seller to ensure the sale is genuine before she goes to view the car. Her preferred contact is via email at shelley.wilson@email.com. Write the email for Shelley.

From:

To:

Subject:

6.1 What is a bag check?

Providing a safe shopping experience is not only about protecting the rights of customers, but also protecting the rights of sellers. This includes laws designed to prevent thieves stealing items from stores which is known as *shoplifting*. Shoplifting costs Australian retailers billions of dollars each year.

Bag checks are the most common form of protection from shoplifting for retailers. Searching the bags of people as they leave the store prevents stolen goods from being hidden in bags. The laws in Australia vary slightly from state to state, but the most important rules of bag checks remain the same.

Read the questions and answers about bag checks then answer the following question.



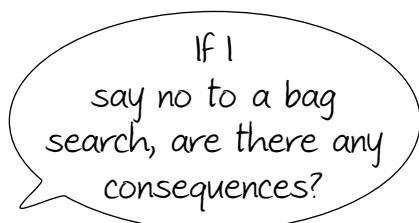
Yes, any store can check bags. The store must have a sign displayed in a prominent place letting customers know that a condition of entry into the store is accepting the fact that their bag may be checked when they leave.



No. You can also get a bag search stopped after it has started.



All shopping bags can be checked, but personal bags must be larger than an A4 piece of paper before they can be searched.



You can be asked to leave, the seller can refuse to sell things to you, and if they believe you have shoplifted, they can call the police.

6.1 What is a bag check? (cont'd)

How do they conduct a bag search?

A retailer can ask you to open your bag. They are not allowed to touch any items in your bag, but can ask you to move items so they can see in your bag more clearly.

If a store thinks I have shoplifted, can I still leave, even if the store wants me to stay?

Yes, but the seller may make a citizen's arrest (where a person who is not a police officer prevents a person from leaving) to keep you in the store.

Is it legal to make a citizen's arrest?

Yes, but if a citizen's arrest is made and the person arrested is found to be innocent, the person who made the arrest may be sued (taken to court) by the person arrested.

1 Are these statements true or false? Edit each false statement to make it true.

Statement	True or false?
a When leaving a store you must present your bags to be searched.	
b Stores are allowed to search all bags in a bag search.	
c Store staff can ask a customer to leave if the customer refuses to have their bags checked.	
d If a person refuses to have their bags searched the store must call the police.	
e Retail staff cannot touch anything inside a bag when conducting a bag search.	
f If suspected of shoplifting, a person can only be arrested by a police officer.	
g It is legal to make a citizen's arrest in Australia.	

6.2 Providing advice about bag checks

Use your knowledge of bag checks to answer the following questions using complete sentences and including reasons for your answers.

- 1 Harriet walks into a store carrying a handbag the size of a pencil case. When she exits the store, she is stopped and asked to open the bag so it can be checked. Must Harriet allow this bag search?

- 2 Justin has just been clothes shopping and has multiple bags. When leaving a store, he is asked by staff to open his bags to be checked. Must he agree?

- 3 After agreeing to a bag check as she leaves a store, Michelle notices her bus arriving at the bus stop outside. Can she stop the search so she can catch the bus?

- 4 Leyton has just refused a bag check. The store owner tells Leyton he is not welcome in the store. Must Leyton leave the store?

- 5 A store manager sees a local school student acting suspiciously at the back of the store. When he asks the student if he can check his bags, the student refuses. What should the store manager do next?

- 6 Rose notices that some of the stock in her store is missing. The person she thinks is responsible is just about to leave her store. She thinks the best thing to do is make a citizen's arrest to hold the person while she waits for the police. What advice would you give Rose regarding citizen's arrests?

7.1 Faulty goods wordsearch

Find the nine words relating to the buying and selling of goods and consumer law in this wordsearch.

Words go in these directions: → ← ↓ ↑ ↘ ↗ ↙ ↚.

faulty
goods
remedy
refund
exchange
repair
warranty
major
minor

y	d	e	m	e	r	u	e	r	d
f	r	e	c	i	y	x	m	g	r
y	g	e	a	p	c	d	y	o	o
n	t	p	r	h	g	r	o	o	n
s	e	l	a	a	r	d	m	d	i
r	x	n	u	j	u	n	i	s	m
a	g	r	y	a	l	u	e	n	a
e	t	o	o	w	f	f	a	e	j
a	f	t	e	h	r	e	r	a	o
e	y	t	n	a	r	r	a	w	r



7.2 When is a good faulty?

The goods we buy at stores do not always last the way we expect them to. Sometimes, we purchase goods that don't work as they should or are faulty. According to Australian law, there are two major kinds of faults that can occur in goods: *major faults* and *minor faults*.

Read the information below about faulty goods then answer the following questions.

Major faults versus minor faults

A major fault is a problem with a good that means you wouldn't have bought it if you had known about the problem. Imagine you purchased a new mountain bike and when you rode it for the first time you found out that the gears didn't change! This is an example of a major fault.

A fault can be considered major if any one of the following occurs:

- The goods are different from the description given.
- The goods are not fit for their usual purpose; that is, the goods don't do what they are meant to do.
- The goods are unfit for a purpose that you told the seller about.
- The goods are unsafe for use.

All other faults with products are classified as minor faults. Examples of minor faults include a car that runs well but has some scratches on the paint, or clothing with stitching that is not quite straight.



Remedies for faults

Remedy is a legal term used for an action that corrects a wrong. In the case of major and minor faults, remedies ensure that the customer does not lose money or use an unsafe product.

The three most common remedies for faults are *refunds*, *repairs* and *exchanges*. A refund is when the customer returns an item to the seller and receives the money they originally paid for the item. A repair to the product may include new parts or components to return it to working order. An exchange may be for a newer, working version of the original product, or for credit that can be used to buy other goods.

In the case of a major fault, the customer chooses which remedy they want. For minor faults, the business chooses the remedy.

7.2 When is a good faulty? (cont'd)

- 1 Which of the following is not a defined example of a major fault?
 - a The goods are unsafe.
 - b The goods are unfit for their usual purpose.
 - c The goods are no longer useful to the customer.
 - d The goods are unfit for a purpose you told the seller about.
- 2 Which of the following would not be an example of a major fault?
 - a A customer buys a fridge that does not stay cold.
 - b A customer buys a pair of socks that fall down when worn.
 - c A customer buys a DVD that skips scenes when played.
 - d A customer buys a carton of milk that when opened is already off.
- 3 What is the most suitable definition of a minor fault?
 - a All faults that are not classified as major.
 - b Faults that don't affect the customer much.
 - c All faults that affect young people.
 - d Faults that can't be fixed.
- 4 What is the most appropriate definition of a legal remedy?
 - a A legal term used to describe refunds.
 - b A way to fix major faults.
 - c An action that corrects a wrong.
 - d A solution to evil actions.
- 5 Which of the following is not a common remedy for faults in goods?
 - a Resell
 - b Refund
 - c Exchange
 - d Repair
- 6 In the case of a minor fault, who chooses the remedy?
 - a The customer
 - b A lawyer
 - c The government
 - d The business



7.3 Can I get a refund?

Whether there is a major fault with a product or not, customers often ask for a refund. Read the information below about getting a refund then answer the following questions.

Customer guidelines for getting a refund

- Return the item in a reasonable amount of time after the purchase. The time frame depends on the item. A car may have a timeframe of a couple of years compared to clothing which may only have a timeframe of a couple of months. This is because a car is expected to last longer.
- Return the item in the same condition as when you purchased it.
- Provide a receipt as proof of purchase.

There are some cases where the store can refuse to give a refund because they are not required to by law:

- When the customer no longer wants or needs the item.
- If the customer find the item at another store for a cheaper price.
- When the customer has broken or damaged the good.
- If the customer bought the good knowing it was faulty.
- If the fault with the product is minor.

- 1 For each scenario in the table, classify the type of fault as Major, Minor or None. Then decide if the customer is entitled to a refund or not and write 'yes' or 'no' in the last column.

Tip: If the problem is major, the customer is entitled to a refund if they want it!

Scenario	Type of fault?	Refund?
a David purchased a new watch. After wearing the watch for four weeks it stops ticking.		
b Wendy bought a book for Joel's birthday present. When she gave it to Joel he said he had already read it.		
c Matthew bought a new computer game. When he tried to play it, he noticed the disc was scratched and could not be loaded. Unfortunately, Matthew had lost the receipt.		
d Tricia purchased a dress. When wearing it the next week, she noticed some stitches had come loose on the bottom hem.		
e Steph purchased a new phone. Two weeks later, she saw the same phone on special in a catalogue. She wants to return the phone to the first store to save some money.		
f Michael bought a pair of basketball shorts in the clearance section of a sports store. All items in this section were marked as sample goods with some having small sewing errors. When Michael put on the shorts he saw a series of small holes in the waistband.		

7.4 How do I get a refund?

Getting a refund can sometime be a daunting experience. The key is to remain calm and clearly explain your situation.

Use the sentences below to complete the following conversation between a customer who wants a refund and the store manager. After you have completed the conversation, practise it as a roleplay with a partner.

According to law, the product has a major fault and I have the right to a refund. Otherwise, I will contact someone to help me further.

Thank you very much.

Hi there. I'd like to return this watch please.

No I don't, unfortunately. However, I did buy it at this store last Saturday afternoon.

After I took the price tags off, I put it on. A week later, the leather band broke. The next day, the watch stopped. I had only worn it four times over the week!

But I wouldn't have bought the watch if I had known the band was going to break so soon or the watch would stop. I would like a refund please.

STORE MANAGER: Hello, how can I help you today?

CUSTOMER: _____

STORE MANAGER: OK. Are there any problems with it?

CUSTOMER: _____

STORE MANAGER: Ah yes, I understand. Do you have the receipt?

CUSTOMER: _____

STORE MANAGER: I'm sorry but I can't accept the return without a receipt or if you have already taken off the price tags.

CUSTOMER: _____

STORE MANAGER: I cannot give refunds without a receipt.

CUSTOMER: _____

STORE MANAGER: OK, I'll give you a refund this time. I'll have to check on those laws.

CUSTOMER: _____

7.5 What remedies are available?

Read the information about remedies and answer the following questions.

The three major *remedies* available to customers are refunds, repairs and exchanges. Each remedy offers its own advantages and disadvantages.

Remedy is a legal term used to describe the action that corrects a wrong.

In the case of refunds, the customer returns the faulty item and receives the money they originally paid for it. Refunds can be in cash, credit (refunded onto debit or credit cards) or in the form of store credit which allows the customer to return to the store later to purchase another item. A major advantage of cash or credit refunds is that the customer receives the remedy more quickly. This can benefit both the customer and the store as the customer often feels they have received better service and may be more likely to return to the store to make future purchases. Offering store credit is even better for the store as it ensures the customer will return and spend their money there, rather than at a different store. In the case of a major fault, the customer can choose the remedy they want, including the type of refund.

Repairs can be both simple and complex. Some repairs can be done in-store and may be as simple as using a special tool to change batteries in a product. Other repairs can take longer. In some cases, the good may have to be sent to another store, another state, or even another country! People are more likely to choose repair when the item is rare, they want to keep that particular item or the item has personal significance.

An exchange is probably the simplest form of remedy. It is most commonly done when the customer still wants to own the item and another one is available in the store. The store simply swaps the faulty item for a working version.

- 1 What is store credit? _____

- 2 Why do many customers seek refunds as a remedy? _____

- 3 Why is offering store credit an advantage for a business? _____

- 4 Which remedy would you recommend for a necklace with a broken chain? Why?

- 5 List three items you would exchange rather than refund. Briefly explain why.

7.6 What are warranties?

Use the wordbank to complete the information about warranties.

- | | | |
|--------------|------------|----------------|
| • protection | • repair | • replace |
| • express | • time | • manufacturer |
| • document | • warranty | • internet |
| • Government | • lifetime | • implied |

A warranty is a _____ that is often provided with a good when it is purchased. It is designed to provide a promise to the customer to _____ or _____ the good (or sometimes its parts) within a certain period of time. In other words, a warranty provides extra _____ for the customer!

Each good will be covered for a different amount of _____ under _____. For example, most electronics, such as televisions, may only have warranties that last for one to two years. On the other hand, some other goods, such as clothing or some appliances may have a warranty lasting their entire _____.

There are two major types of warranties: express (also called voluntary) and _____. An express warranty is the written warranty that is usually provided with the product. It most commonly comes in the form of a card that is sent in to the _____. With the increased popularity of the _____, many warranties are now completed online.

An implied warranty is available on all goods. This does not rely on customers filling in cards or forms online to guarantee protection. Instead, it relies on laws set by the Australian _____ to protect customers.

It is important to note that any express warranties offer conditions better than any implied warranties. In the case where no _____ warranty is provided, the customer is protected by the implied warranty.



7.7 Explore a warranty

You just purchased a new 3D television from Rick Daniel's Electronic Goods. You open the box and discover two cards. One card outlines the warranty conditions and the other must be completed in order to secure the warranty. Read the warranty below and answer the following questions.



PRODUCT WARRANTY



TGB TELEVISIONS PTY LTD

75 Nonagon Business Centre

Rowville VIC 3178

(03) 912 0000

sales@tgbtelevisions.com.au

Product: TGB 104cm 3D television

Warranty Period (Parts): 2 years

Warranty Period (Labour): 2 years

Our goods are of acceptable quality by law. For any major faults, you are entitled to a refund or replacement of the item. You are also entitled to have the goods repaired or replaced if the goods fail to be of acceptable quality.

Warranty conditions specific to product

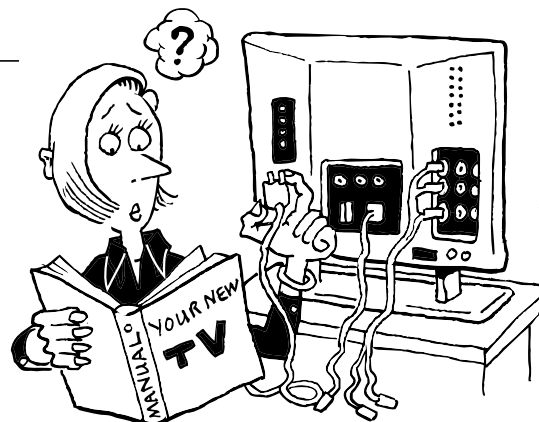
TGB Televisions Pty Ltd provides an additional warranty to the one outlined above. If the product is found to have a defect within the warranty period stated, the goods shall be repaired or replaced by the company. The cost of repair or replacement shall not include costs incurred for travel to/from the repair site, only parts and labour costs. Travel expenses shall be the responsibility of the customer. If the good needs to be moved to a different site for repairs this cost shall be paid by the company. In the event of a defect after the warranty has expired, all costs are the responsibility of the customer.

Should a fault or defect occur, it is the responsibility of the customer to cease using the goods and contact the supplier on the phone number or email address supplied on the warranty card. Clearly state the problem and specify a suitable time for a technician to assess the item.

All warranty cards must be filled in and mailed to the above address or submitted online (www.tgbtelevisions.com.au/warranty) to be valid. This warranty is valid from the date the television is sold.

- 1 Write each warranty word beside the correct definition:
additional, cease, defect, entitled, incurred, responsibility.

- a A fault in the product _____
- b Have acquired or gained _____
- c Stop _____
- d Have a right to get _____
- e Extra _____
- f Duty to deal with or be accountable for _____



7.7 Explore a warranty (cont'd)

- 2 Is the section of the warranty card titled 'Warranty conditions specific to product' an example of an express warranty or implied warranty? Explain.

- 3 How long does the warranty cover the television purchased? _____
- 4 If the product is found to be faulty during the warranty period, will the company fix it?

- 5 If repairs need to be done to the television during the warranty period:
 - a who pays for the parts? _____
 - b who pays for the travel to and from the repair location? _____
- 6 What will happen if the television needs to be moved for further repairs?

- 7 Once the warranty period has expired, are repairs to the television covered? Explain your answer.

- 8 How do you put in a warranty claim for this television?

- 9 Complete the warranty card.

Product name:	Goods manufacturer:
First name:	Phone number:
Initial:	Email address:
Last name:	Date of purchase:
Address:	Day: Month: Year:
City:	Location of purchase:
State:	

8.1 Tips for making a complaint

Read the information about making a complaint and answer the following question.

When you find that goods are faulty, it is common sense to return them to the store or manufacturer. If you are not satisfied with the quality of an item, you have the right to complain. This can be done in many ways. Usually, people visit the store they bought the item from. You can also complain by phone, email or letter. Whichever way you choose, it is important to know the right way to complain.

When returning a faulty item it is important to remain calm. Becoming aggressive when complaining about items only makes it more difficult to communicate with the salesperson. Stay composed and be patient with the salesperson you are complaining to.

It also helps to write down information if you are dealing with a large complaint. This is especially important when dealing with complaints in-store or over the phone. Keep records of who you speak to and when, and what was agreed. This helps avoid any confusion later.

If you are not happy with the solution first offered, it is perfectly fine to ask to speak to someone else. If you want to, ask to speak to a manager. If the manager is not in the store or is otherwise unavailable, ask for them to contact you when they can.

If the response you receive in-store or over the phone is unsatisfactory, it may help to write a letter. This also means that all the important information is written down in one place for future reference. Make sure any letters you send are factual and reasonable. Don't make false accusations or threats.

In your letter, explain your rights under law. Also make sure you offer a way for the store or manufacturer to contact you. If you don't provide contact information, you can't expect the complaint to be addressed!

Finally, only as a last resort, seek legal advice regarding the complaint. Never threaten to sue or take a store to court straight away!



1 Use the information above to make a list of the right and wrong ways to complain.

The right way to complain	The wrong way to complain

8.2 Analyse a complaint letter

1 Read the descriptions of the parts of a complaint letter.

A: Explain your rights.

When you understand your legal rights you have a better chance of getting the resolution you want. If a product has a major fault, explain your rights to refund, repair or exchange.

B: Explain the problem.

Clearly describe the problem with the product in as much detail as you can.

C: Include contact information.

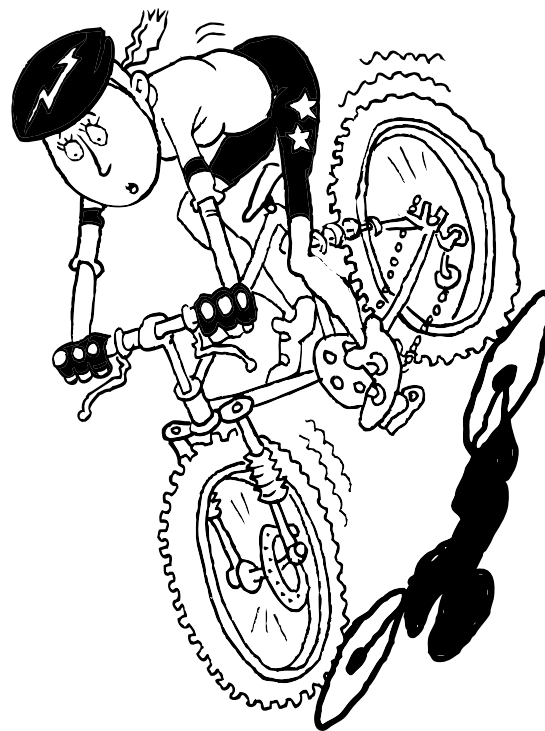
Be sure to tell the person how and when is best to contact you in order to solve the problem you are complaining about.

D: Name, title and address of person receiving the complaint

If possible, use the full name and job title of the person receiving the complaint to make sure it reaches the right person at the organisation.

E: Greeting and introduction

Use the name of the person you are addressing the complaint to. Introduce the product you wish to complain about, list when and where it was purchased and make reference to any proof of purchase you may have to support your claim.



F: Offer a solution

Outline the remedy or solution you want – it may be a refund, repair or exchange of the faulty good.

G: Sign off the letter

Include a formal farewell and your full name at the bottom of the letter.

H: Provide information about previous interactions

In most cases, letters are written as a second step after visiting the store and trying to resolve the complaint in person. If a previous attempt to solve the problem has occurred, explain it to the person now handling the complaint.

8.2 Analyse a complaint letter (cont'd)

- 2 Write the letter of each description from the previous page in the box beside the matching part of the complaint letter below.

☐

Ms Jessica Rankine
Customer Service Manager, Bronze Star Cycles
17 Goldenhill Court
Beacon Hill NSW 2100
13 January 2014

☐

Dear Ms Rankine,

On 17 October 2013, I purchased a new mountain bike and bike computer from your North Sydney store as a birthday present for my sister. I have taken a photo of the receipt and enclosed it with this letter.

☐

While the bike has been fantastic, the bike computer recently started to malfunction and is no longer able to calculate bike speed. As this is the main reason I purchased the item, I wish to return it.

☐

I returned the computer with the original box, packaging and receipt to your Darlinghurst store on 10 January 2014 and was told there was a seven day refund and exchange policy on all products. Since the product was purchased in October, I was told a refund or exchange was not possible.

☐

As the product is faulty, I would like to exchange the bike computer for a new one that works properly. Even though the product was purchased last year, it is reasonable to expect that a bike computer will last more than three months.

☐

If the same computer is not available, I would like another version of the bike computer. I am happy to pay any difference in price up to twenty dollars.

☐

I look forward to hearing from you regarding this matter and hope to organise a replacement bike computer soon for my sister. If you want to discuss this further, please do not hesitate to contact me on 049 654 321.

☐

Kind regards,

Jarrad Wright

Jarrad Wright

8.3 Arrange a complaint letter

Read the jumbled sections of the complaint letter below. Write the numbers 1 to 7 in the boxes at the bottom of the page to show the order required for a complete, coherent letter.

1

I initially returned the faulty item to your store and was told by one of the sales assistants that because the item was on sale when I purchased it, no refund was possible. I then spoke with one of your store managers, Jason, and was given the same response.

2

Dear Miss Porrino,

I am writing to you to register a complaint regarding a faulty item I recently purchased. The item in question was a two-litre glass kettle purchased from your store on 22 January 2014.

3

Miss Jordan Porrino
Sales Manager, Handcoat Appliances
6 Moosehead Rd
Balcatta WA 6021

4

I was initially happy with the product. Unfortunately, just two weeks after the first use of the kettle, I noticed the heating element was not functioning properly and the kettle was producing smoke from the base.

5

Kind regards,
David Hirst
David Hirst

6

I believe I am entitled to a refund as the product did not last for a reasonable amount of time and has become unsafe for me to use. This is a major product fault and according to law, I have the right to request a refund.

7

Please contact me as soon as possible to arrange the return of the faulty kettle and refund of the purchase price. The best contact method is by email at david.hirst@email.com or by phone on 910 9876. I look forward to hearing from you and finalising this matter.

Order:

8.4 Write a complaint

Help Grace write a complaint in the form of an email. Use the checklist to help.

Hi there, my name's Grace King. Four months ago I bought a camera to take on an overseas trip. Just this week the camera screen stopped working and I would like a replacement before my next holiday. I've been back to the store I bought it from but they told me it isn't their problem as I don't have the receipt. I asked to speak to a manager but there wasn't one available. I left my mobile number (042 456 789) for a manager to contact me, but no one did. I know I have the right to get a replacement or get the camera repaired as I filled out a warranty card for the camera which lasts a year. I looked up the complaints department manager for the company, Mr Andrew Roberts, and found his email address: andrew.roberts@gfcameras.com.au.
Can you help me?

From:

To:

Subject:



Complaint checklist

- Name, title and postal address or email address of the person receiving the complaint.
- Greeting and introduction.
- Explain the problem.
- Provide information about previous interactions.
- Explain your rights.
- Offer a solution.
- Include contact information.
- Sign off the letter.

9.1 How am I influenced?

Many of our purchasing choices are influenced by the people and things around us. Although we may decide to buy items because we like them, we may also buy items because our friends have them or want them. Our decisions can also be affected by the advertisements we see. There are many different ways items are advertised: on television, on billboards, in magazines, in newspapers, on the radio and on the Internet. All of these advertisements try to convince us to purchase particular items even if we don't really need them.

- 1 Think about the last five things that you bought. List each item in the chart below. Then write why you purchased that particular item. It could be for personal reasons or the influence of friends, family, media, advertising or something else entirely.

I bought _____

because _____

I bought _____

because _____



I bought _____

because _____

I bought _____

because _____

I bought _____

because _____

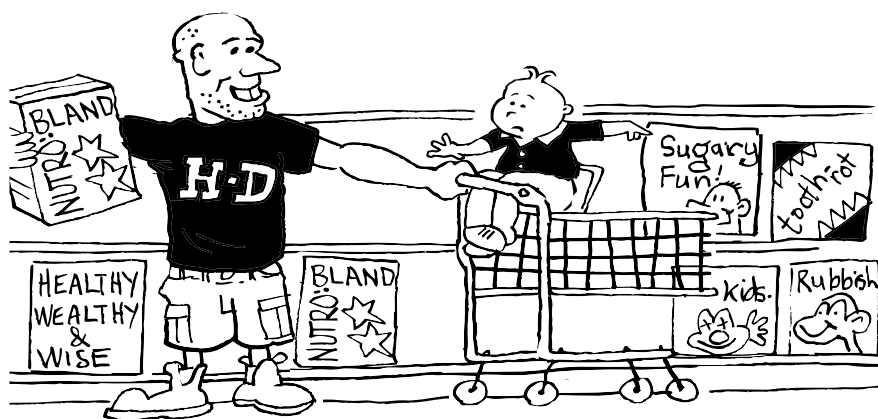
- 2 What influences your purchasing decisions? What doesn't? Write a short reflection.

9.2 What influences people to buy?

- 1 Read the list of common influences on people's purchasing. How do you think these things influence you? Number them from 1 (greatest influence) to 10 (least influence).

- | | |
|--------------------------------------|--|
| ☐ parents | ☐ television |
| ☐ internet | ☐ friends |
| ☐ celebrities | ☐ magazines |
| ☐ siblings | ☐ advertising |
| ☐ media | ☐ acquaintances |

- 2 Read the scenario in which Henry and his young son Damien are in the supermarket.



HENRY: What cereal would you like to get?

DAMIEN: I want this one!

HENRY: You can't have that one, it's full of sugar.

DAMIEN: But I want this one! I want the toy!

HENRY: Maybe next time. Let's get this cereal instead today.

- a Who or what is Damien influenced by?

- b Who or what influences your decisions about breakfast food?

9.2 What influences people to buy? (cont'd)

- 3 Read the scenario in which Richard and Ben are at the cinema discussing which movie to see.

RICHARD: What about this one?

BEN: Nah, it only got two out of five stars on movieraters.com.

RICHARD: Really? I heard from someone at school it was pretty good!

BEN: What about this one instead? The ads for it looked awesome.

RICHARD: Yeah, my brother saw it and said it was good.

- a Who or what are Richard and Ben influenced by?

- b Who or what influences your decisions about the movies you see?

- 4 Read the scenario in which Brodie and Holly are trying on clothes in a store.

HOLLY: I love this dress.

BRODIE: Yeah, it looks just like the one I saw Kim Kardigan wearing at the Oscars! I think you should buy it.

HOLLY: It's pretty expensive though. I think I saw something similar but cheaper downstairs.

BRODIE: There's also that new shop next door. I saw a great dress in the window when I walked past. Do you want to go look there?

HOLLY: Yeah, sure.



- a Who or what are Brodie and Holly influenced by?

- b Who or what influences your decisions about buying clothes?

Smart consumer quiz

How smart are you as a consumer? Take this twenty question quiz to test your knowledge. You may need a calculator or working paper.

- 1 If someone purchases a product but does not use it are they a customer or a consumer?

- 2 This word starts with R and is one of the largest industries in Australia. You may visit one of these stores to buy new clothes, a new dinner set or even a new computer.

- 3 Courtney wants to buy a new sound system. She finds one with an original price of \$2800. It has a sticker on it saying '5% off'. What is the dollar amount Courtney will receive as a discount?

- 4 Alex is looking at a new pair of sports shoes. In Store A the shoes cost \$170 but have a 5% discount. In Store B they are also \$170, but have a tag saying '\$10 off'. Which store is cheaper?

- 5 Which can of peaches is better value (cheaper per 100 g): the 500 g can costing \$3.60 or the 800 g can costing \$5.40?

- 6 Credit cards are a safer method of payment than cash because cash can't be replaced if it gets lost. True or false?

- 7 Andrew buys a sandwich worth \$4.75. He pays with a ten dollar note. How much change will he receive?

- 8 Sam buys a bag of chips for \$3.20 and a drink for \$2.60. She pays with eight dollars she found at the bottom of her bag. How much change will she get?

- 9 When purchasing with a credit card or debit card, you are usually asked for your PIN. What does PIN stand for?

- 10 Howard buys items worth £16. The exchange rate is 1 Great British Pound (GBP) = 1.55 Australian Dollars (AUD). How much has Howard paid in Australian dollars?

- 11 What is the abbreviated term for an 'application' that can be downloaded to people's mobile phones or tablets?

- 12 What type of mobile phones have the ability to access the Internet?

Smart consumer quiz (cont'd)

- | | |
|---|---|
| <p>13 What is the word starting with P that is used to describe people who illegally download media from the Internet?</p> <p>_____</p> | <p>17 You don't have to provide proof of purchase (a receipt) in order to return faulty items. True or false?</p> <p>_____</p> |
| <p>14 'Bait and switch' is the name of the shopping scam where a product is advertised for a cheap price, but when the customer comes to purchase the item, they are told it is sold out and offered a similar but more expensive item. True or false?</p> <p>_____</p> | <p>18 Georgia buys a new woollen jumper on sale. One week later, she tries on the jumper and discovers it is too large. She wants to get a refund for it. Under law, must the store give her a refund?</p> <p>_____</p> |
| <p>15 Personal bags smaller than an A4 piece of paper cannot be searched by a store in a bag check. True or false?</p> <p>_____</p> | <p>19 What is the name for the warranty that businesses provide on top of the guarantees required under Australian law?</p> <p>_____</p> |
| <p>16 Adam buys a new book. When he gets home, he notices some of the pages are discoloured and the graphics are slightly blurred. Is this a major fault or a minor fault?</p> <p>_____</p> | <p>20 When complaining about a faulty product, you are more likely to get a refund if you threaten to sue the business. True or false?</p> <p>_____</p> |

Your results:

0–5 points: Be careful with your money, shopper. You may be at risk of losing it in the future unless you look carefully at prices and know your role and rights as a consumer. Keep learning about consumer issues from family, friends, teachers and professionals and you'll be able to protect yourself better in the future.

6–10 points: Some good signs here. You know the key words and what it means to be a consumer, but may need help with certain things. There are lots of people out there to help you. Ask lots of questions and soon you'll be a more confident shopper.

11–15 points: You're doing pretty well there, shopper. You know a bargain when you see one, but sometimes need some help when it comes to how to pay or the best place to buy. Some more reading and practise and you'll be a smart consumer in no time.

16–20 points: You are one smart consumer! You understand the facts and laws that help you shop safely and spend wisely. You could even help others understand what influences them and how to shop safely and efficiently. Well done.

Selected answers

TOPIC 1: CUSTOMERS

1.1 Customer wordsearch

p	t	f	o	k	b	s	\$	t	e
u	n	b	u	s	i	n	e	s	s
x	g	i	p	r	w	e	l	t	e
c	e	y	l	r	l	l	l	c	r
h	n	m	a	t	i	s	e	u	v
a	r	o	o	g	c	c	r	d	i
s	e	r	o	t	s	u	e	o	c
e	l	o	i	i	s	m	j	r	e
h	d	s	u	d	h	u	p	p	\$
s	p	b	u	y	e	r	c	a	e

1.2 What is a customer?

- 1 goods, purchaser, loyal, wear, drive, different, customer, uses, buys, stores
- 2 A customer is a term used for the person who purchases goods and services.
- 3 A customer buys a product and a consumer uses it. A customer may not consume the item they buy and vice versa.

1.3 My shopping places

- 1 a bakery b cafe, restaurant c butcher, supermarket d car yard e department store, clothing retailer f furniture store g newsagent, milk bar h milk bar, supermarket

1.4 How do I interact?

- 1 a retail b purchase c trade d sell e brand f shopping g product h loyalty i service
- 2 a trade b shopping c product d sell e service f retail g purchase h loyalty i brand

1.5 Who would buy?

1	Family member	Product 1	Product 2
	Sean	barbeque grill	speedboat
	Vicki	knitting needles	gardening gloves
	Ryan	video game console	comic books
	Harrison	building blocks	painting set

TOPIC 2: HOW MUCH WILL IT COST?

2.1 Shopping crossword

Across 4. value 5. money 6. grams
10. discount 11. reduction

Down 1. compare 2. sale 3. weight 7. size
8. percentage 9. price

2.2 Where's the best place to shop?

- 1 a Shopping centre. Lots of different options, can look at different gifts.
b Online. More choice, can get things cheaper, can get the best products.
c Supermarket. Can get fruit, vegetables and snacks at the same place which makes it more convenient.
d Market or op shop. Can buy vintage and second-hand clothing and explore lots of unique stalls.

2.3 How much is the discount?

- 1 a \$25 b \$2,976 c \$7,869 d \$18 e \$912
f 5% g 4.2%

2.4 Getting a better deal

- 1 A \$85.50 B \$80 Option B is cheaper
- 2 A \$260.40 B \$265 Option A is cheaper
- 3 A \$502.20 B \$510 Option A is cheaper
- 4 A \$646 B \$640 C \$650 D \$655
Option B is cheaper

2.5 Buying in bulk

- 1 a \$0.42 per 100 mL b \$0.26 per 100 mL
c \$0.20 per 100 mL
- 2 \$1.20 per 100 g b \$1.16 per 100 g
c \$1.23 per 100 g
- 3 a \$0.28 each b \$0.22 each c \$0.23 each
- 4 a \$0.67 per 50 g b \$0.60 per 50 g
c \$0.60 per 50 g

2.6 Is 'more' better value?

- 1 a 25 mL b \$1.09, \$1.16
- 2 a 40 mL b 75 mL
c 200 mL can = \$0.75 per 100 mL
500 mL can = \$0.59 per 100 mL
700 mL can = \$0.63 per 100 mL
The 500 mL can is the best value for money.

TOPIC 3: BUYING AND PAYING

3.1 Different ways to pay

1	v	p	r	r	i	s	x	g	n	t	m	t
	o	j	o	t	o	z	i	d	e	b	i	t
	z	f	p	p	d	f	t	m	s	e	s	m
	j	e	t	x	t	o	s	o	k	s	o	z
	b	f	u	e	i	t	e	n	i	l	n	o
	e	p	a	q	d	q	a	e	m	o	c	h
	h	r	v	y	e	g	e	y	b	r	a	s
	d	z	g	r	r	h	n	o	b	p	s	s
	o	f	n	c	c	h	c	r	s	y	h	k
	k	r	w	d	f	t	j	d	r	k	s	d
	v	x	o	p	o	u	z	e	k	b	p	d
	p	u	w	d	m	z	c	r	j	i	d	r

Selected answers (cont'd)

- 2 a cash b debit c online d lay-by
e money order f credit g gift card
h EFTPOS i cheque

- 3 a cash b gift card c lay-by d online or
credit card e cheque or money order

3.2 Paying with cash versus credit

- 1 a false b false c true d true e false
f true

3.3 Using cash and getting change

- 1 a \$5.50 b \$5.15 c \$34.10 d \$5.55
e \$12.50

3.4 Buying online using a credit card

- 1 a signature strip b expiry date c cardholder
name d Card Verification Value code
e microchip f credit card number
g magnetic stripe
- 2 Students should tick the following options:
Concrete Rock, Deluxe + VIP, 2 in concession
box, electronic ticket.
Students should use the personal details provided,
including the credit card details from the first
page.

3.5 Online transfers and money orders

- 1 Quantity to purchase: 3
Postage: Australia (\$3.00)
Payment method: online transfer
- 2 Quantity ordered: 3
Price per item: \$14.95
Total price of items: \$44.85
Postage destination: Australia
Postage price: \$3.00
Total price: \$47.85
- 3 Quantity to purchase: 1
Postage: United Kingdom (£1.50)
Payment method: money order
- 4 Quantity ordered: 1
Price per item: £13.50, AUD20.93
Total price of items: £13.50, AUD\$20.93
Postage destination: United Kingdom
Postage price: £1.50, AUD\$2.33
Total price: £15.00, AUD\$23.26

3.6 Card fraud

- 1 Fraud is a form of deception used in order to gain
financially or personally.
- 2 'Card not present' fraud where card details
are used without the owner's knowledge and
counterfeit card fraud where a fake card is
created and used.
- 3 Increase in Internet shopping means an increase
in buying from overseas where laws may not be
as strict as in Australia. Hacking (illegal access
of personal data by computer users) may also
contribute.
- 4 Unknown transactions appear on your bank
statement; amounts that differ from the actual
amounts spent appearing from retailers on your
bank statement.

- 5 Answers could include: shield your PIN when
using an ATM or EFTPOS machine; never write
down or share your PIN – keep it secret; always
watch your card when using it in shops to
prevent it from being copied; change your online
passwords often; use secure websites when
shopping online.

TOPIC 4: APPS, MUSIC AND MOVIES

4.1 Digital download crossword

- Across* 4. software 6. download 8. application
Down 1. illegal 2. piracy 3. free 4. sharing
5. terms 6. devices 7. games

4.2 Who is buying apps?

- 1 a true b true c false d false e false
f true g false h false

4.3 What apps can I buy?

- 1 John: MP Currency Converter
Art Elite
Euro Food
Total cost: \$0.00
- Hazel: Typing Teacher
Spelling Masterclass
Study Ideas
Total cost: \$19.98
- Megan: Chatster
Upset Ducks
Quiz Time
Total cost: \$12.97
- Lani: News of Sports
Graceland Cinemas
Oz Basketball
Total cost: \$1.99

2 \$34.94

3 Megan

4.4 Understanding terms and conditions

- 1 a yes b yes c no d no e yes f yes
g no h no i no j no
- 2 There are many terms and conditions that Richard
may not wish to agree to, such as not being
able to use the music for his DJ job. He would
probably be better off finding a different content
provider.

4.5 Why is piracy illegal?

- 1 Downloading from legal and illegal sources
- 2 Billions of dollars
- 3 People think one download won't have a large
impact
- 4 Young people often can't afford the prices
charged for DVDs and CDs
- 5 Musicians, sound engineers, equipment
manufacturers, songwriters, lawyers, marketers
- 6 Student responses will vary, but may include
fines, jail time and community service.

Selected answers (cont'd)

7 Debate sample responses:

Agree	Disagree
Music and film companies already use free downloads as a marketing and promotion tool. Companies charge too much for movie tickets, DVDs and CDs, making the products unaffordable. This includes the cost of manufacturing DVDs/CDs which is very little compared to the prices charged for them. People downloading their music is a great way for new artists to get their music and films to a wide audience.	Stealing other items is a crime, e.g. stealing clothing from a store. You are stealing other people's property; songwriters own the rights to their songs. Piracy costs jobs because people are not paid for the work they do.

TOPIC 5: SHOPPING SCAMS

5.1 What are shopping scams?

- Across: 2. bait 5. scammers 6. quality
Down: 1. double ticketing 3. dummy 4. websites
- a low b enquiries, genuine c websites, security, payment d ratings e future, government.
- a bait and switch b Contact government agencies to report the scam. c Make further enquiries about the product, check online to see if the store is reputable.

5.2 Asking questions to prevent getting scammed

Sample response:

Dear Sir/Madam,

I am enquiring about the 2008 hatchback advertised by you on 'Car Yard Marketplace'. First, what is the actual colour of the car? Could you email me a photo to confirm the car's colour? Second, how many kilometres has the car travelled since it was purchased in 2008? Finally, does the car come with a roadworthy certificate? It must come with this for me to consider buying it.

I am interested in organising a time to view and test drive the car. 10 am this Saturday at your house would suit me. If this also suits you, please confirm and supply the address. All replies can be sent to shelley.wilson@email.com. I look forward to your response and thank you for your time.

Kind regards,
Shelley Wilson

TOPIC 6: BAG CHECKS

6.1 What is a bag check?

- a false b false c true d false e true f false g true

6.2 Providing advice about bag checks

- Harriet does not have to be part of the bag search as her personal bag is smaller than an A4 piece of paper. She also has the right to refuse any bag search.

- Justin does not have to agree to any bag search, even if his bags are larger than an A4 piece of paper.
- Michelle can ask for the bag search to be stopped at any time. However, the consequences may include refusal to sell items to her, asking her to leave or holding her in the store by citizen's arrest if they suspect she is a shoplifter.
- Leyton can refuse a bag search, but if asked to leave a store due to his refusal he must do so.
- The store manager can refuse to sell anything to the student, ask them to leave the store or call the police if they are a suspected shoplifter.
- Only make a citizen's arrest if you are certain the person has committed a crime. If a citizen's arrest is made and the person is innocent, they could sue Rose.

TOPIC 7: WHEN GOODS ARE FAULTY

7.1 Faulty goods wordsearch

y	d	e	m	e	r	u	e	r	d
f	r	e	c	i	y	x	m	g	r
y	g	e	a	p	c	d	y	o	o
n	t	p	r	h	g	r	o	o	n
s	e	l	a	a	r	d	m	d	i
r	x	n	u	j	u	n	i	s	m
a	g	r	y	a	l	u	e	n	a
e	t	o	o	w	f	f	a	e	j
a	f	t	e	h	r	e	r	a	o
e	y	t	n	a	r	r	a	w	r

7.2 When is a good faulty?

- c
- b
- a
- c
- a
- d

7.3 Can I get a refund?

- a major, yes b none, no c major, yes d minor, no e none, no f minor, no

7.4 How do I get a refund?

Hi there ...
After I took ...
No I don't ...
But I wouldn't ...
According to law ...
Thank you ...

7.5 What remedies are available?

- Store credit is a receipt or voucher for the value of the returned item that is given to a customer so they can spend it in store.
- Customers seek refunds because they can receive

Selected answers (cont'd)

their cash back quickly and easily.

- 3 Store credit guarantees the customer will return and spend that money in-store. With a refund, they may spend it elsewhere.
- 4 A repair may be best for a broken necklace as it could hold sentimental or personal value. A refund or exchange could also be used.
- 5 Items such as clothing, computer games and appliances.

7.6 What are warranties?

(In order) document, repair, replace, protection, time, warranty, lifetime, implied, manufacturer, Internet, government, express

7.7 Explore a warranty

- 1 a defect b incurred c cease d entitled e additional f responsibility
- 2 Express warranty. An express warranty provides additional protection for the customer. It is often written, rather than simply implied by law. The warranty card is written and is specific to the television (more detailed than the law).
- 3 Two years
- 4 Yes
- 5 a the company b the customer
- 6 The company will pay the cost of transport of the television to a further repair site.
- 7 No, the cost of repairs is not covered after the warranty period – all costs are then the responsibility of the customer.
- 8 Cease using the product, contact the manufacturer by phone or email, clearly state the problem and organise a time for a technician to inspect it.

TOPIC 8: COMPLAINTS

8.1 Tips for making a complaint

The right way to complain	The wrong way to complain
Stay calm and factual. Provide contact details so the store can reach you. Keep records of all conversations to avoid confusion later. Ask to speak to a manager if you are not happy with the solution. Explain your rights under law.	Be aggressive and irrational. Make false accusations. Threaten straight away to take a store to court.

8.2 Analyse a complaint letter

In order: D, E, B, H, A, F, C, G

8.3 Arrange a complaint letter

3, 2, 4, 1, 6, 7, 5

8.4 Write a complaint

Sample email:

To: andrew.roberts@gfcameras.com.au

Subject: Faulty item complaint

Dear Mr Roberts,

I am writing to you to register a complaint regarding a camera I recently purchased for an overseas trip.

The screen on the camera is no longer working. I took the camera back to the store I originally purchased it from, but they told me I could not return the item as I no longer have the receipt. I was told the same thing by a store manager.

I believe that as the product has a major fault, I am entitled to my choice of a refund, repair or exchange of the camera. I also completed the additional one year warranty card so repair or replacement of the camera should not be a problem.

I would like a replacement for my camera before my next overseas trip. Please contact me on my mobile phone 0423 456 789 at your earliest convenience to organise how I can pick up my replacement.

I look forward to hearing from you.

Kind regards,

Grace King

TOPIC 9: INFLUENCES ON THE CONSUMER

9.2 What influences people to buy?

- 2 a parents, advertising on packaging
- 3 a friends, acquaintances, Internet, siblings
- 4 a friends, celebrities, advertising

Smart shopper quiz

- 1 customer
- 2 retail
- 3 \$140
- 4 Store B
- 5 800 g can
- 6 true
- 7 \$5.25
- 8 \$2.20
- 9 Personal Identification Number
- 10 \$24.80
- 11 app
- 12 smart phone
- 13 pirate
- 14 true
- 15 true
- 16 minor fault
- 17 true
- 18 no
- 19 express warranty
- 20 false

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